

U.S. Machinery

Machinery Lead Indicators: June data points in 40 exhibits



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This note provides a holistic view of relevant data points for the Machinery sector across construction equipment, commercial vehicles and agriculture equipment, with a brief overview of key macroeconomic indicators.

The **Construction Equipment** market: Non-resi starts increased in May by ~30% Y/Y in terms of value (similar to the prior month), and but declined ~10% Y/Y in sq ft, vs prior month's ~-10%. Total Non Resi spending declined 2%, vs +1% Y/Y the prior month. May Construction Backlog increased ~8% Y/Y, vs +1% the prior month. The Architecture Billings Index declined by 4%Y/Y in May (vs prior month's +3%), and still remains below the 50 mark. In Apr, Komatsu retail sales grew in North America, Europe and China by 10%, 10%, and 34%, respectively. May Dodge Momentum Index accelerated to +31% Y/Y from the prior month's +30%.

North America Heavy Duty Truck remains under pressure, but is showing some positive signs. Build rates declined ~10% Y/Y during May, vs ~-10% the prior month. Net orders increased 100% Y/Y reaching ~25k units (vs ~25k prior month). Backlog increased ~70% (vs ~+50% the prior month). In June, the Internet Truckstop Market Demand Index increased ~100% YoY (vs. ~+150% prior month). In the earliest read of Jul, DAT Spot Rates reached \$3.07, which translates to +45% Y/Y, similar to the prior month

In **Ag equipment**, farmer sentiment deteriorated in both US and European markets. Hence, sentiment remained cautious and unit volumes continued under pressure. The Purdue AG Barometer declined 3 points from the prior month to 119 in May, but remains ahead of the 100 mark. The CEMA Barometer declined again from -9 points in May to -20 points in Jun (-24 points Y/Y, vs prior -16). The North American high-horsepower (HHP) volumes decreased ~10% Y/Y in May (vs ~-15% the prior month), and combine sales declined ~55% (vs +3% the prior month)

Macroeconomic indicators: Money supply for the 3 largest economies (US, China, Europe) continued growing (May Y/Y change was +\$4T, vs prior month's of ~+\$3.7T). Every \$100B reduction in the money supply reduces the backlog growth of capital goods companies by 1%. Conversely, global growth synchronization of top 20 economies by GDP declined to 75% (from +80% the prior month) and most of these countries are showing a positive 2nd derivative of PMI growth.

Key publications released in June:
See First Page of Details

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	2 Jul 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
AGCO (AGCO)	M	USD	116.49	118.00	(13.0)%	USD	5.29	6.01	8.43	22.0	19.4	13.8
CAT (Caterpillar)	M	USD	963.53	879.00	123.0%	USD	19.08	24.01	28.30	50.5	40.1	34.0
CMI (Cummins)	M	USD	661.70	700.00	80.2%	USD	20.51	27.35	32.25	32.3	24.2	20.5
DE (Deere)	M	USD	621.27	615.00	0.1%	USD	18.51	17.60	20.80	33.6	35.3	29.9
J (Jacobs)	O	USD	127.89	163.00	(22.7)%	USD	6.12	7.27	8.33	20.9	17.6	15.4
OSK (Oshkosh Corp)	M	USD	142.70	138.00	(4.3)%	USD	10.78	11.08	14.10	13.2	12.9	10.1
PCAR (Paccar)	O	USD	119.50	138.00	4.7%	USD	5.01	5.53	6.89	23.8	21.6	17.3
PWR (Quanta Services)	M	USD	668.31	725.00	53.7%	USD	10.75	13.90	15.84	62.2	48.1	42.2
TRMB (Trimble)	O	USD	53.04	85.00	(51.9)%	USD	3.14	3.59	4.46	16.9	14.8	11.9
URI (United Rentals)	O	USD	1,098.59	1,153.00	19.5%	USD	42.11	47.78	53.00	26.1	23.0	20.7
ETN (Eaton)	O	USD	398.52	534.00	(9.2)%	USD	12.07	13.29	16.32	33.0	30.0	24.4
HUBB (Hubbell)	O	USD	487.10	584.00	(1.8)%	USD	18.33	19.70	21.95	26.6	24.7	22.2
TTAM (Titan America)	M	USD	18.21	17.00	26.5%	USD	389.66	410.08	466.28	9.3	8.8	7.7
LGN (Legence)	O	USD	75.83	103.00	NA	USD	298.82	479.93	567.27	32.0	19.9	16.9
SPX			7,483.24									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

CAT estimate is Adjusted EPS EBITDA (M); TTAM, LGN estimate is EBITDA (M); TTAM, LGN valuation is EV/EBITDA (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We maintain our **Outperform** rating(s) on: **Trimble** (TRMB, TP \$85), **Jacobs** (J, TP \$163), **PACCAR** (PCAR, TP \$138), **Legence** (LGN, \$103), **Hubbell** (HUBB, \$584), **Eaton** (ETN, \$534) and **United Rentals** (URI, \$1,153). We maintain our **Market-Perform** rating(s) on **AGCO** (TP \$118), **Caterpillar** (CAT, TP \$879), **Deere** (DE, TP \$615), **Cummins** (CMI, TP \$700), **Titan America** (TTAM, \$17) and **Oshkosh** (OSK, TP \$138), and **Quanta** (PWR, TP \$725).

DETAILS

KEY PUBLICATIONS RELEASED IN JUNE:

- 29 Jun 2026 - [Construction & Rental Equipment: May Dodge Construction Starts and the latest mega project starts](#)
- 25 Jun 2026 - [Global Trucks: North America strength backed by fundamentals not prebuy... meaning a very good 2027?](#)
- 24 Jun 2026 - [United Rentals: Technology is widening the moat](#)
- 23 Jun 2026 - [Machinery & Transports: May Truck Demand Signals](#)
- 18 Jun 2026 - [Powering AI: Mapping the gas turbine supply stack - a unified approach](#)
- 17 Jun 2026 - [Powering AI: The coming wave of mid-scale generator manufacturing capacity & why the power bottleneck will ease](#)
- 15 Jun 2026 - [Liquid Cooling Primer: Coolant Distribution Units \(CDUs\)](#)
- 10 Jun 2026 - [US Industrials & Tech: The Data Center Project Pipeline - Capacity, Construction & Cancellations \(May '26\)](#)
- 10 Jun 2026 - [Jacobs Solutions: Biotech Construction Site Tour and Why AI Is Enhancing Their Right to Win](#)
- 8 Jun 2026 - [AI Value Chain: How much does a GW of Vera Rubin data center capacity actually cost?](#)
- 7 Jun 2026 - [State of Utility Capex 1Q26 - more multi-year upgrades led by data centers, with a focus on new generation spend](#)
- 3 Jun 2026 - [Eaton: Best Idea Presentation Slides from Bernstein's 42nd Annual Strategic Decisions Conference](#)
- 2 Jun 2026 - [Equipment Rental: Inflation coming \(back\) into view](#)

CONSTRUCTION EQUIPMENT**EXHIBIT 1: Construction Summary**

	Dodge (YoY, non resi)			Construction Backlog		ABI	Construction Komatsu (YoY)			Fast Sales				US Spending
	Starts (\$)	Starts (Sq Ft)	Momentum Index	MoM	YoY		NA	EU	China	MoM	YoY	Manuf	Non-Resi	
														
Jan-23	4%	-19%	37%	-2%	13%	49.30	3%	18%	-76%	17%	11%	17%	-2%	8%
Feb-23	-21%	-13%	20%	2%	15%	48.00	-2%	10%	-55%	-3%	10%	16%	-2%	7%
Mar-23	48%	11%	17%	-5%	5%	50.40	-2%	3%	-50%	16%	7%	11%	-4%	6%
Apr-23	13%	-12%	8%	2%	1%	48.50	-6%	-2%	-49%	-13%	3%	13%	-8%	6%
May-23	-14%	-6%	21%	0%	-1%	51.00	5%	0%	-51%	11%	10%	10%	-10%	7%
Jun-23	1%	-26%	19%	0%	0%	50.10	11%	3%	-56%	0%	5%	9%	-9%	8%
Jul-23	-33%	-23%	15%	4%	7%	50.00	7%	1%	-45%	-11%	4%	7%	-10%	8%
Aug-23	-22%	-16%	-1%	-1%	6%	48.10	11%	4%	-42%	17%	4%	4%	-6%	10%
Sep-23	1%	-13%	-8%	-2%	0%	44.80	-5%	-9%	-45%	-10%	0%	5%	-6%	11%
Oct-23	7%	-23%	-9%	-7%	-5%	44.30	5%	2%	-55%	7%	7%	3%	-9%	12%
Nov-23	-8%	-36%	-14%	1%	-8%	45.30	-2%	-13%	-70%	-7%	4%	3%	-8%	13%
Dec-23	-15%	-19%	-2%	1%	-7%	46.50	8%	-12%	203%	-14%	0%	4%	-6%	13%
Jan-24	39%	-2%	-6%	-2%	-7%	46.20	-4%	-13%	134%	24%	6%	2%	-9%	10%
Feb-24	9%	-4%	0%	-4%	-12%	49.50	2%	-19%	-29%	-2%	8%	2%	-3%	11%
Mar-24	-29%	-28%	-16%	1%	-6%	43.60	-8%	-26%	0%	0%	-7%	2%	-7%	9%
Apr-24	14%	-18%	-5%	2%	-6%	48.30	2%	-4%	11%	3%	11%	2%	-6%	9%
May-24	-3%	-15%	-11%	-1%	-7%	42.40	-7%	-18%	30%	1%	1%	2%	-6%	8%
Jun-24	-10%	-14%	5%	1%	-6%	46.40	-19%	-17%	28%	-8%	-6%	3%	-5%	6%
Jul-24	33%	-1%	14%	0%	-10%	48.20	-4%	-19%	24%	4%	11%	1%	-5%	6%
Aug-24	-6%	-21%	27%	-2%	-11%	45.70	-18%	-23%	20%	3%	-2%	3%	-6%	5%
Sep-24	-9%	-17%	18%	5%	-4%	45.70	-12%	-20%	23%	-4%	3%	3%	1%	4%
Oct-24	-8%	-9%	10%	-2%	0%	50.30	6%	-19%	20%	11%	7%	3%	1%	3%
Nov-24	29%	6%	10%	0%	-1%	49.60	-8%	-15%	19%	-15%	-2%	4%	-2%	1%
Dec-24	3%	3%	19%	-1%	-3%	44.10	2%	-13%	24%	-8%	5%	0%	-6%	0%
Jan-25	-22%	-17%	27%	1%	0%	45.60	-7%	-19%	2%	21%	2%	3%	-4%	0%
Feb-25	-3%	-18%	28%	-1%	2%	45.50	-9%	-11%	98%	-4%	0%	6%	-7%	-1%
Mar-25	9%	-11%	29%	2%	4%	44.10	-3%	-8%	26%	8%	8%	7%	0%	-1%
Apr-25	-15%	-10%	22%	2%	4%	43.20	0%	1%	15%	2%	7%	5%	1%	-2%
May-25	8%	7%	23%	-3%	1%	47.20	-11%	9%	-8%	-1%	4%	8%	3%	-3%
Jun-25	64%	11%	24%	4%	4%	46.80	4%	-1%	1%	2%	15%	8%	5%	-2%
Jul-25	-7%	-2%	40%	1%	5%	46.20	7%	7%	10%	2%	13%	11%	5%	-1%
Aug-25	-9%	-2%	48%	-3%	4%	47.20	3%	1%	8%	-3%	7%	9%	12%	-1%
Sep-25	17%	6%	55%	0%	-1%	48.30	12%	16%	14%	4%	16%	9%	6%	-1%
Oct-25	6%	-22%	51%	-1%	0%	47.60	-1%	12%	-5%	7%	11%	9%	11%	-1%
Nov-25	-7%	-11%	48%	-4%	-4%	45.30	6%	11%	6%	-19%	6%	10%	8%	-1%
Dec-25	-6%	0%	43%	1%	-1%	48.50	6%	6%	5%	0%	16%	10%	11%	2%
Jan-26	-10%	-2%	24%	-2%	-5%	43.80	-7%	-7%	49%	11%	7%	9%	16%	0%
Feb-26	9%	1%	14%	1%	-2%	49.40	14%	5%	-49%	2%	13%	10%	20%	0%
Mar-26	5%	-9%	24%	6%	1%	49.80	9%	15%	21%	12%	17%	9%	15%	1%
Apr-26	33%	10%	30%	2%	1%	48.30	10%	10%	34%	0%	14%	11%	20%	1%
May-26	29%	-8%	31%	3%	8%	44.50				-5%	9%	12%	16%	-2%

Source: Bloomberg, Dodge, Fastenal, Komatsu, Bernstein analysis

EXHIBIT 2: **Construction Put in Place - Growth Rates**

	% Y/Y		% M/M		
	May. '26	Prior Month	May. '26	Prior Month	Seasonality
Total Non-Resi	-4%	-5%	0.0%	-0.1%	0.5%
Private Non-Resi	-7%	-8%	-0.3%	-0.5%	0.6%
Lodging	-11%	-12%	0.1%	-0.8%	2.9%
Office	5%	-2%	0.2%	0.2%	0.1%
Commercial	-6%	-7%	-0.3%	-0.5%	0.6%
Healthcare	-6%	-9%	0.1%	-0.5%	0.8%
Educational	-2%	-2%	-0.6%	-0.2%	1.3%
Religious	26%	24%	1.6%	0.1%	-0.1%
Amusement & Recreation	5%	2%	0.3%	0.4%	0.1%
Transportation	-3%	-6%	1.1%	-0.2%	0.8%
Communication	3%	3%	0.6%	0.5%	0.5%
Power	2%	3%	-0.1%	-0.1%	1.0%
Manufacturing	-22%	-22%	-1.3%	-1.4%	1.1%
Public Non-Resi	0%	-1%	0.4%	0.4%	0.4%
Office	-2%	-1%	0.2%	0.8%	0.6%
Commercial	-15%	-13%	0.0%	-1.3%	3.3%
Healthcare	5%	2%	0.9%	1.0%	0.8%
Educational	-3%	-5%	0.6%	0.4%	0.9%
Public Safety	-6%	-6%	0.2%	2.3%	1.5%
Amusement & Rec.	0%	0%	1.5%	-1.1%	1.5%
Transportation	3%	5%	-0.2%	1.1%	0.6%
Power	-6%	-1%	-0.9%	-0.5%	0.9%
Highway & Street	3%	0%	0.6%	0.6%	-0.1%
Sewage & Waste	1%	-1%	0.6%	-0.7%	-0.2%
Water	1%	-1%	0.3%	0.5%	1.2%
Conservation	16%	9%	1.5%	1.3%	0.6%
Total Resi	2%	1%	0.4%	1.0%	0.2%
Private Resi	2%	1%	0.3%	1.0%	0.3%
Public Resi	-2%	-1%	2.8%	1.4%	0.2%
Total Construction	-2%	-3%	0.1%	0.3%	0.4%

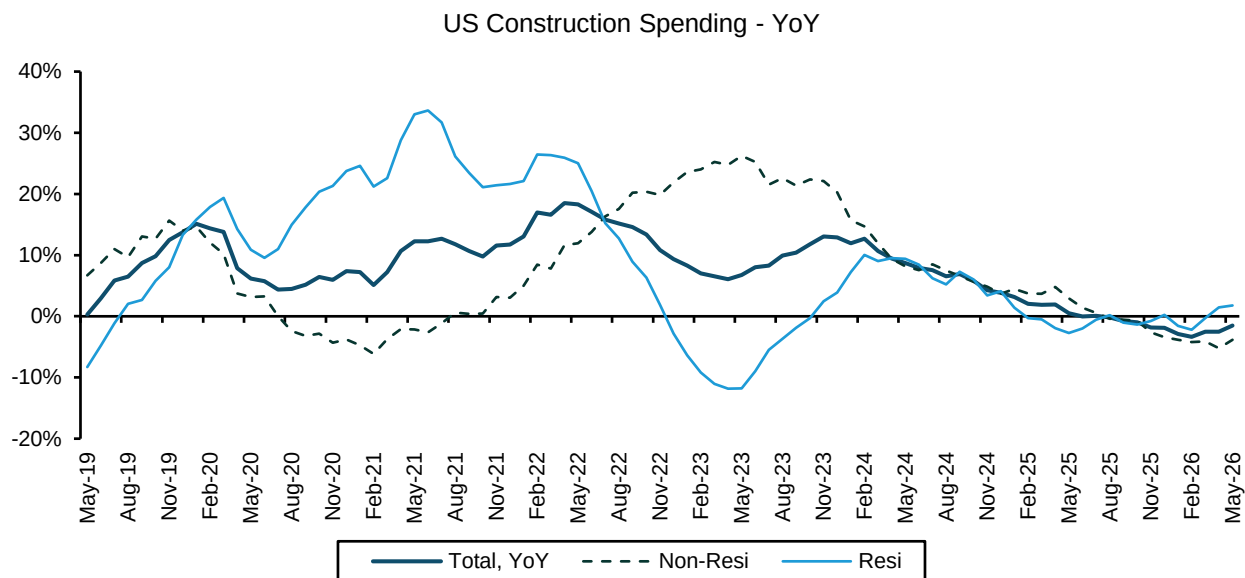
Source: Census Bureau, Bernstein analysis

EXHIBIT 3: **Construction Put in Place - Value and % of Total**

	<u>\$ Millions</u>				<u>% of Total</u>	
	May. '26	Prior Year	Δ Y/Y	Subsegment	Non-Resi	Total
Total Non-Resi	1,267.4	1,318.0	-50.6	--	100%	57%
Private Non-Resi	738.7	791.0	-52.3	99%	58%	33%
Lodging	23.0	25.7	-2.7	3%	2%	1%
Office	107.6	102.8	4.8	15%	8%	5%
Commercial	116.8	123.6	-6.8	16%	9%	5%
Healthcare	56.2	59.7	-3.5	8%	4%	3%
Educational	25.0	25.7	-0.6	3%	2%	1%
Religious	6.4	5.1	1.3	1%	1%	0%
Amusement & Recreation	23.1	21.9	1.2	3%	2%	1%
Transportation	19.7	20.2	-0.5	3%	2%	1%
Communication	28.3	27.5	0.8	4%	2%	1%
Power	155.0	151.6	3.5	21%	12%	7%
Manufacturing	173.6	222.5	-48.9	24%	14%	8%
Public Non-Resi	528.7	527.0	1.7	99%	42%	24%
Office	16.9	17.3	-0.4	3%	1%	1%
Commercial	6.1	7.1	-1.1	1%	0%	0%
Healthcare	18.4	17.5	0.9	3%	1%	1%
Educational	113.4	116.9	-3.4	21%	9%	5%
Public Safety	21.3	22.6	-1.3	4%	2%	1%
Amusement & Rec.	25.7	25.7	0.1	5%	2%	1%
Transportation	52.2	50.7	1.5	10%	4%	2%
Power	19.7	21.0	-1.3	4%	2%	1%
Highway & Street	150.6	146.3	4.3	28%	12%	7%
Sewage & Waste	52.0	51.4	0.6	10%	4%	2%
Water	34.3	34.0	0.3	6%	3%	2%
Conservation	14.9	12.8	2.1	3%	1%	1%
Total Resi	942.8	926.4	16.4	100%	--	43%
Private Resi	930.2	913.6	16.6	99%	--	42%
Public Resi	12.5	12.8	-0.3	1%	--	1%
Total Construction	2,210.2	2,244.4	-34.2	--	--	100%

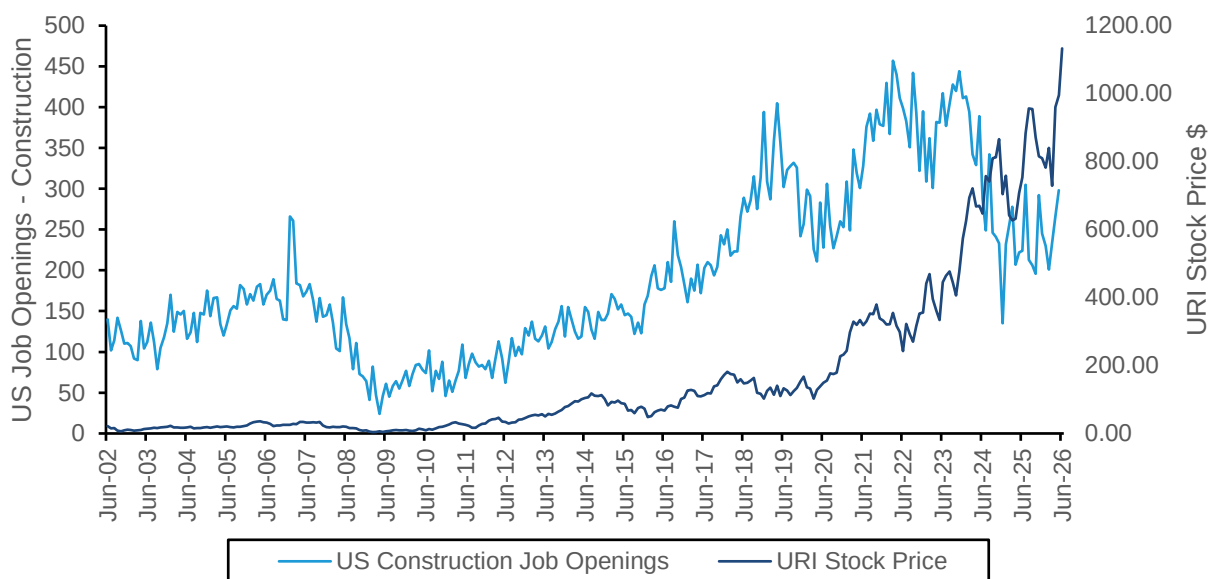
Source: Census Bureau, Bernstein analysis

EXHIBIT 4: **US Construction Spending declined ~2% Y/Y in May, 100bps deceleration from the prior revised month.**



Source: Bloomberg, US Bureau, Bernstein analysis

EXHIBIT 5: **In May, US Construction job openings increased from ~265k the prior month to almost 300k**



Source: Bloomberg, Bernstein analysis

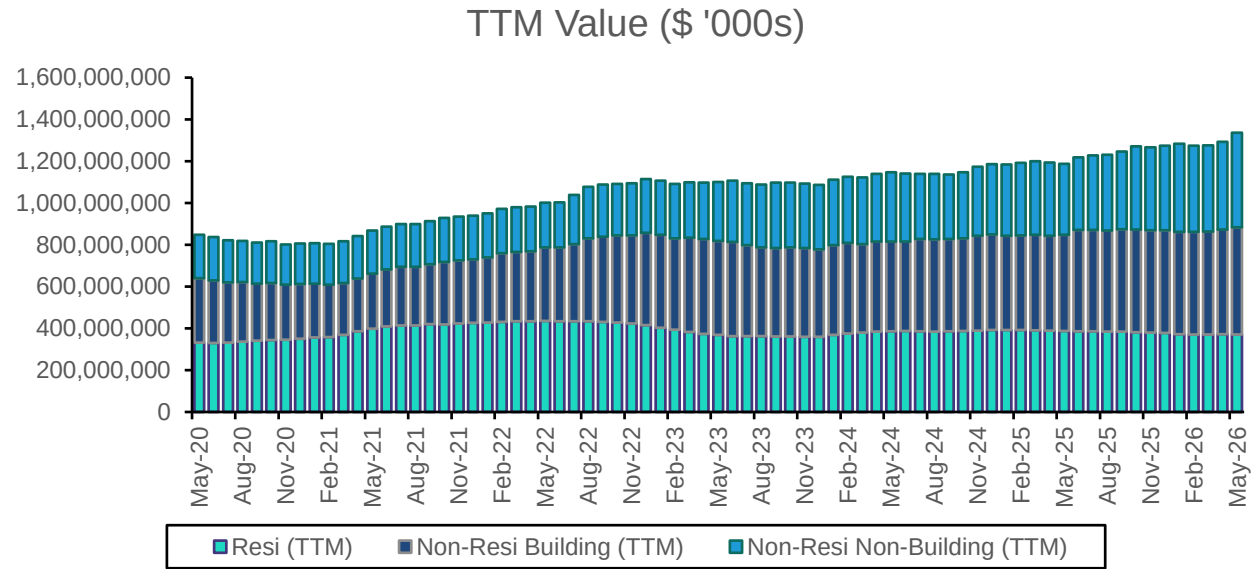
EXHIBIT 6: **Dodge Construction Starts**

SQUARE FOOTAGE ('000s)										
	% Y/Y		% M/M			Million Sq Ft.			% of Total	
	May. '26	Prior Mo.	May. '26	Prior Mo.	Seasonality	May. '26	Prior Yr.	Δ Y/Y	Segment	Total
Nonresidential	-8%	8%	12%	22%	15%	107.0	116.8	-9.8	100%	26%
Amusement, Social and Recreational	-15%	23%	12%	35%	22%	4.5	5.3	-0.8	4%	1%
Dormitories	5%	11%	21%	57%	119%	1.1	1.0	0.1	1%	0%
Government Service Buildings	21%	-14%	103%	-9%	28%	2.2	1.8	0.4	2%	1%
Hospitals and Other Health Treatment	11%	-21%	67%	-2%	16%	6.1	5.5	0.6	6%	1%
Hotels and Motels	2%	28%	-21%	9%	8%	2.7	2.7	0.0	3%	1%
Mfg Plants, Warehouses, Labs	144%	-43%	264%	16%	66%	20.2	8.3	11.9	19%	5%
Miscellaneous Nonresidential Bldgs	-72%	-35%	35%	-3%	38%	2.1	7.5	-5.4	2%	1%
Office and Bank Buildings	36%	95%	2%	20%	16%	14.8	10.9	3.9	14%	4%
Parking Garages and Automotive Svcs	-17%	66%	-39%	90%	14%	10.2	12.2	-2.0	10%	2%
Religious Buildings	1%	-17%	55%	-36%	10%	1.0	1.0	0.0	1%	0%
Schools, Libraries, and Labs (nonmfg)	-15%	-9%	25%	17%	27%	10.9	12.8	-2.0	10%	3%
Stores and Restaurants	-15%	38%	-3%	21%	12%	7.0	8.3	-1.2	7%	2%
Warehouses (excl. mfr owned)	-39%	-11%	-11%	9%	10%	24.2	39.3	-15.2	23%	6%
Residential	-4%	2%	-8%	5%	2%	307.6	319.9	-12.3	100%	74%
Apartments	-27%	2%	-14%	-9%	8%	46.5	64.0	-17.5	15%	11%
One-family Houses	2%	2%	-7%	9%	1%	257.1	252.5	4.7	84%	62%
Two-family Houses	15%	-4%	-12%	13%	-3%	4.0	3.4	0.5	1%	1%
Grand Total	-5%	3%	-4%	9%	5%	414.6	436.6	-22.1	--	100%

VALUE (\$ '000s)										
	% Y/Y		% M/M			\$ Billions			% of Total	
	May. '26	Prior Mo.	May. '26	Prior Mo.	Seasonality	May. '26	Prior Yr.	Δ Y/Y	Segment	Total
Non-Resi Building + Non-Building	62%	27%	53%	16%	28%	\$120.3	\$74.4	\$45.9	--	--
Non-Res Nonbuilding	105%	28%	91%	12%	33%	\$65.2	\$31.8	\$33.4	100%	43%
Bridges	369%	-1%	236%	17%	14%	\$10.3	\$2.2	\$8.1	16%	7%
Dams/Reservoirs/River Development	7%	66%	-30%	61%	1%	\$1.6	\$1.5	\$0.1	2%	1%
Other Nonbuilding	-29%	-1%	2%	28%	42%	\$4.5	\$6.3	-\$1.8	7%	3%
Power Plants/Gas/Communications	284%	134%	196%	-9%	90%	\$30.7	\$8.0	\$22.7	47%	20%
Sewerage and Waste Disposal	-29%	40%	-25%	31%	37%	\$1.8	\$2.5	-\$0.7	3%	1%
Streets and Highways	57%	2%	44%	30%	14%	\$13.7	\$8.7	\$5.0	21%	9%
Water Supply Systems	1%	-9%	25%	-13%	16%	\$2.6	\$2.5	\$0.0	4%	2%
Non-Resi Building	29%	25%	25%	19%	24%	\$55.1	\$42.7	\$12.5	100%	36%
Amusement, Social and Recreational	-19%	27%	-18%	53%	30%	\$2.3	\$2.9	-\$0.5	4%	2%
Dormitories	-4%	44%	-6%	199%	160%	\$0.6	\$0.6	\$0.0	1%	0%
Government Service Buildings	31%	-19%	137%	-2%	33%	\$2.1	\$1.6	\$0.5	4%	1%
Hospitals and Other Health Treatment	21%	-7%	120%	20%	21%	\$6.9	\$5.7	\$1.2	13%	5%
Hotels and Motels	13%	14%	-45%	9%	7%	\$0.7	\$0.6	\$0.1	1%	0%
Mfg Plants, Warehouses, Labs	117%	-13%	123%	-30%	146%	\$9.1	\$4.2	\$4.9	16%	6%
Miscellaneous Nonresidential Bldgs	14%	32%	11%	-16%	-2%	\$1.9	\$1.7	\$0.2	3%	1%
Office and Bank Buildings	138%	102%	23%	47%	14%	\$17.6	\$7.4	\$10.2	32%	12%
Parking Garages and Automotive Svcs	-21%	102%	-49%	109%	10%	\$1.4	\$1.8	-\$0.4	3%	1%
Religious Buildings	-10%	-1%	4%	-18%	3%	\$0.3	\$0.3	\$0.0	0%	0%
Schools, Libraries, and Labs (nonmfg)	-15%	-3%	5%	5%	31%	\$7.6	\$8.9	-\$1.3	14%	5%
Stores and Restaurants	-14%	24%	-1%	9%	7%	\$2.1	\$2.4	-\$0.3	4%	1%
Warehouses (excl. mfr owned)	-46%	-4%	-18%	25%	15%	\$2.5	\$4.5	-\$2.1	4%	2%
Residential	-7%	3%	-7%	1%	3%	\$31.8	\$34.1	-\$2.4	100%	21%
Apartments	-13%	14%	-5%	-8%	9%	\$11.3	\$13.0	-\$1.7	36%	7%
One-family Houses	-3%	-2%	-8%	7%	0%	\$20.0	\$20.7	-\$0.7	63%	13%
Two-family Houses	14%	-7%	-10%	8%	-5%	\$0.4	\$0.4	\$0.1	1%	0%
Grand Total	40%	18%	35%	11%	18%	\$152.1	\$108.6	\$43.5	--	100%

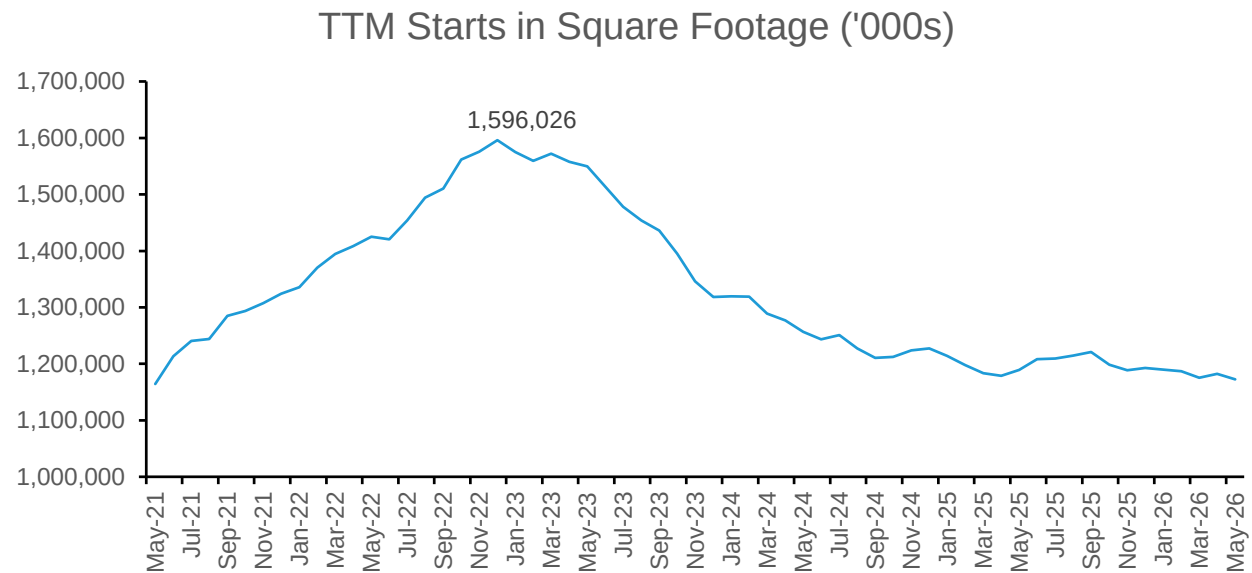
Source: Dodge, Bernstein analysis

EXHIBIT 7: **Value of Total Construction Starts (\$ '000s)**



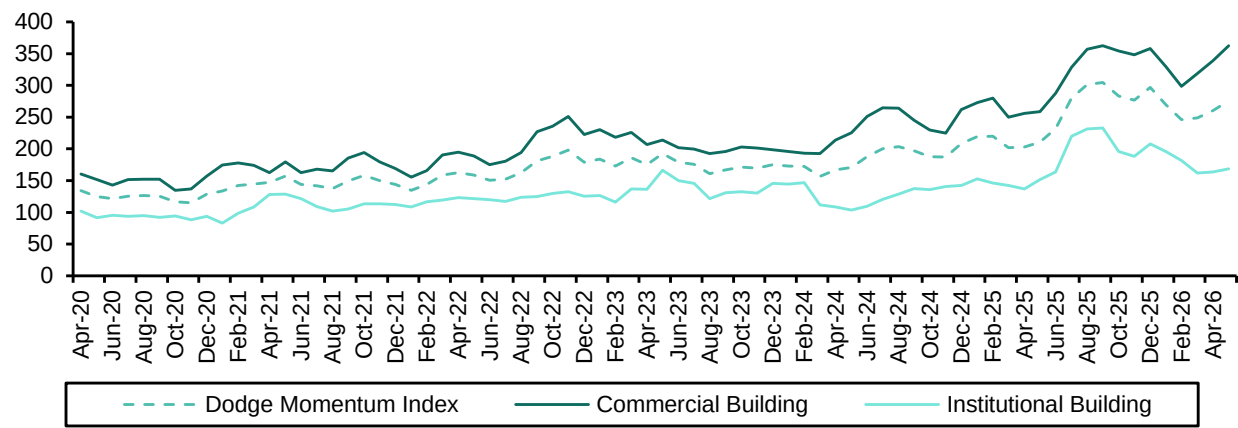
Source: Dodge, Bernstein analysis

EXHIBIT 8: **TTM Sq Ft of non resi construction starts returned to pre pandemic levels**



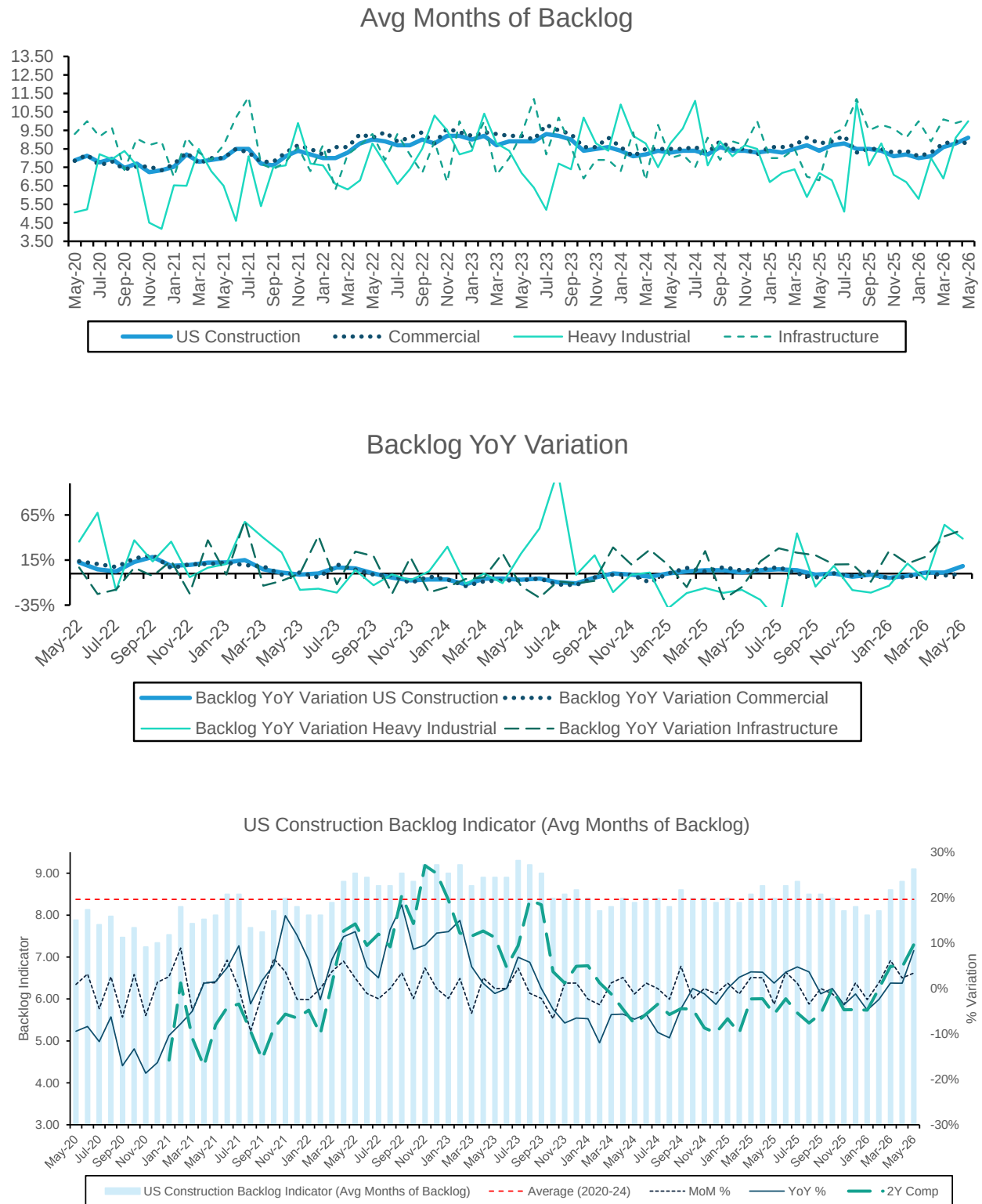
Source: Dodge, Bernstein analysis

EXHIBIT 9: In Apr, the DMI grew 6% M/M, an accelerated +~30% Y/Y vs almost +30% the prior month.



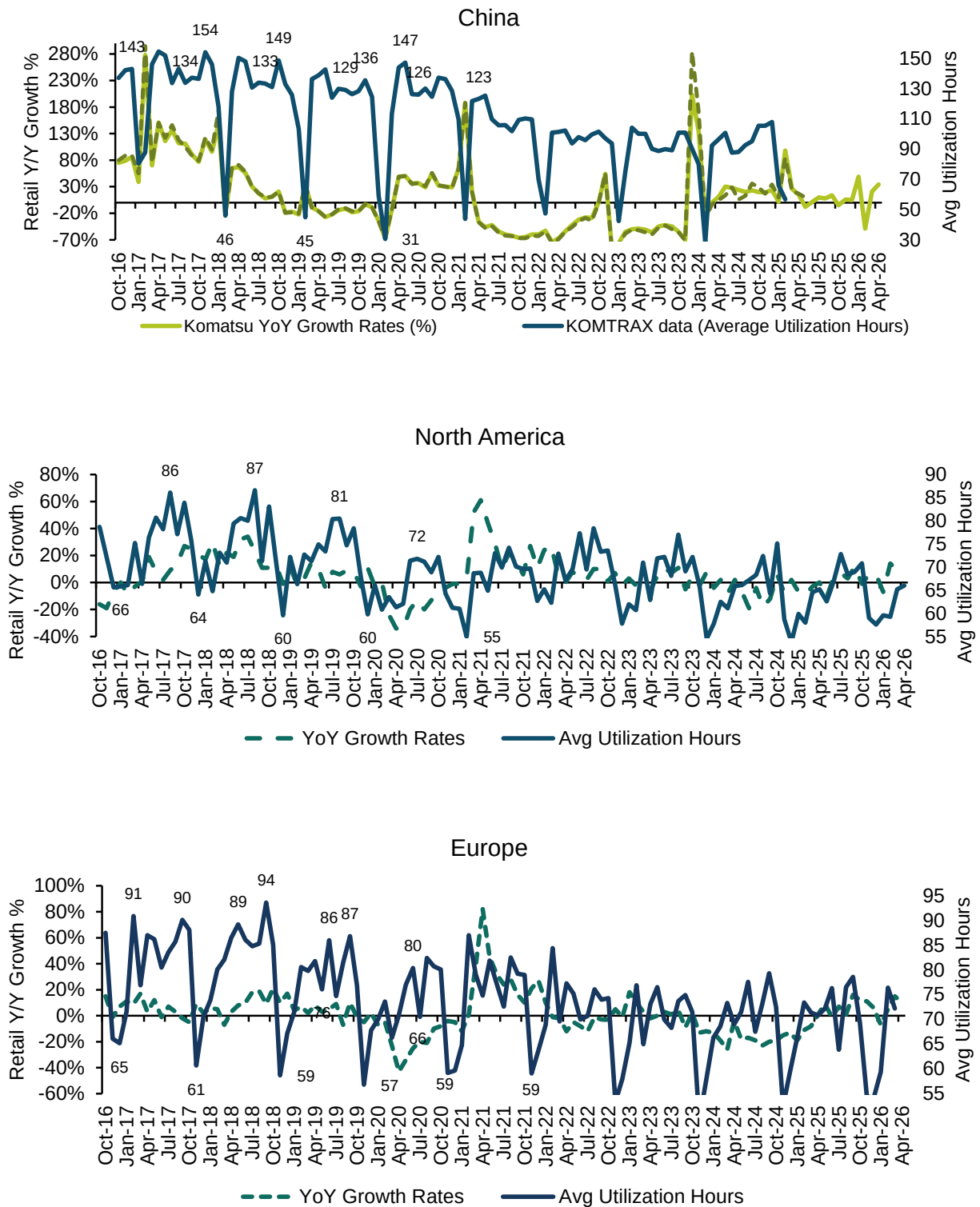
Source: Dodge, Bernstein Analysis

EXHIBIT 10: The US Construction backlog increased 3% from the prior month and 8% from prior year and continues ahead of the historical average. This is lead by the heavy industrial and infra categories



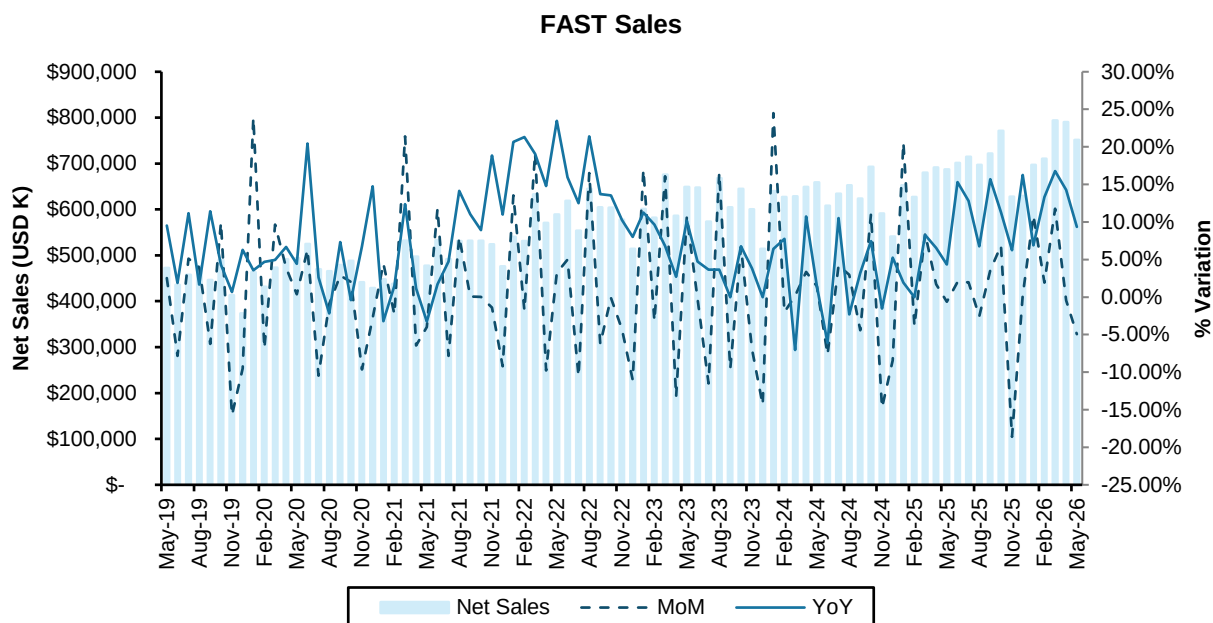
Source: Haver, Bernstein analysis

EXHIBIT 11: All regions are showing Y/Y retail sales growth. In Apr, Komatsu's retail sales accelerated in North America and China, whilst decelerated in Europe.



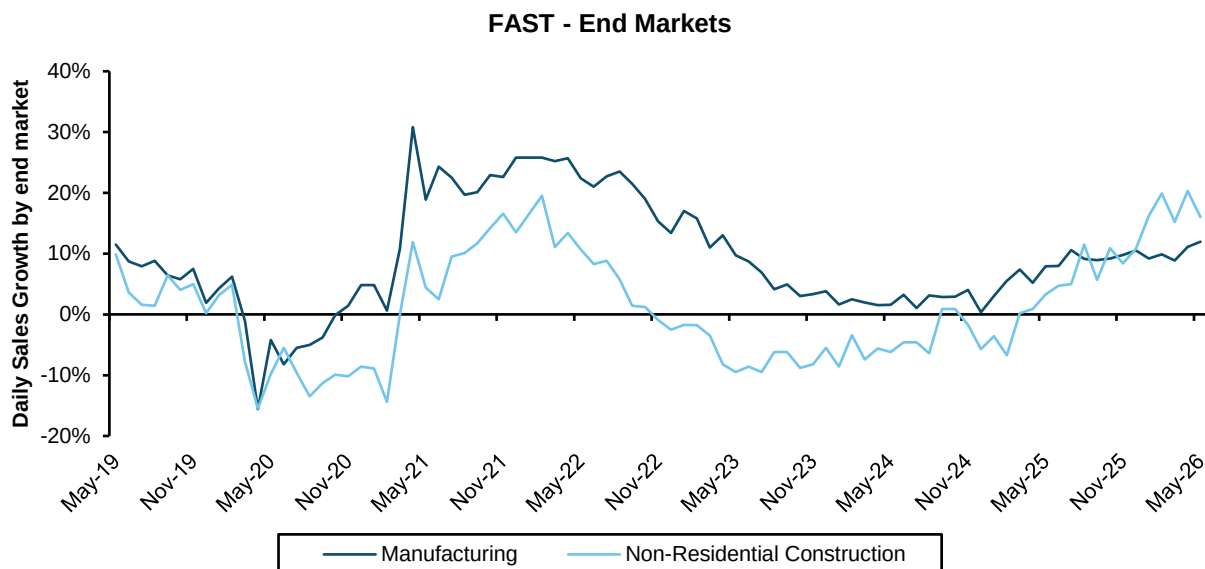
Source: Komatsu, Bernstein Analysis

EXHIBIT 12: **May FAST net sales declined 5% M/M but increased +9% Y/Y, decelerating from Apr +~15%. However, measured from a daily sales perspective, the indicator accelerated from +14% Y/Y in Apr to +15% in May.**



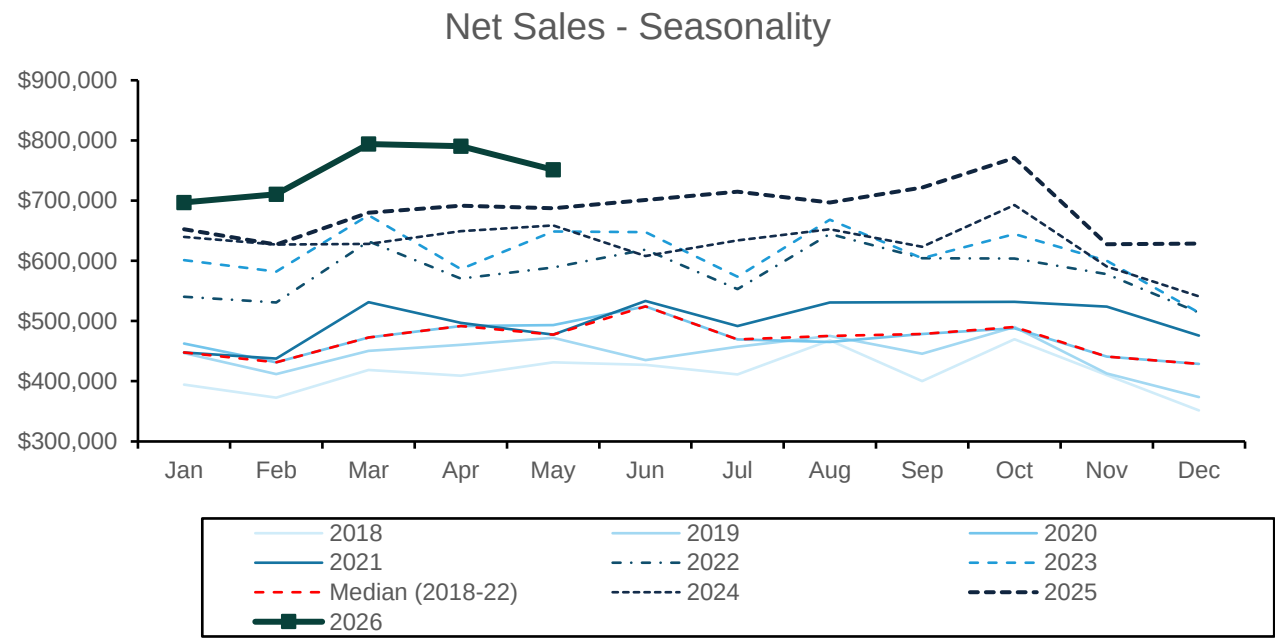
Source: Fastenal, Bernstein analysis

EXHIBIT 13: **From an end market perspective, manufacturing accelerated 100 bps to +12% Y/Y, and non resi decelerated from +20% yo ~+15%.**



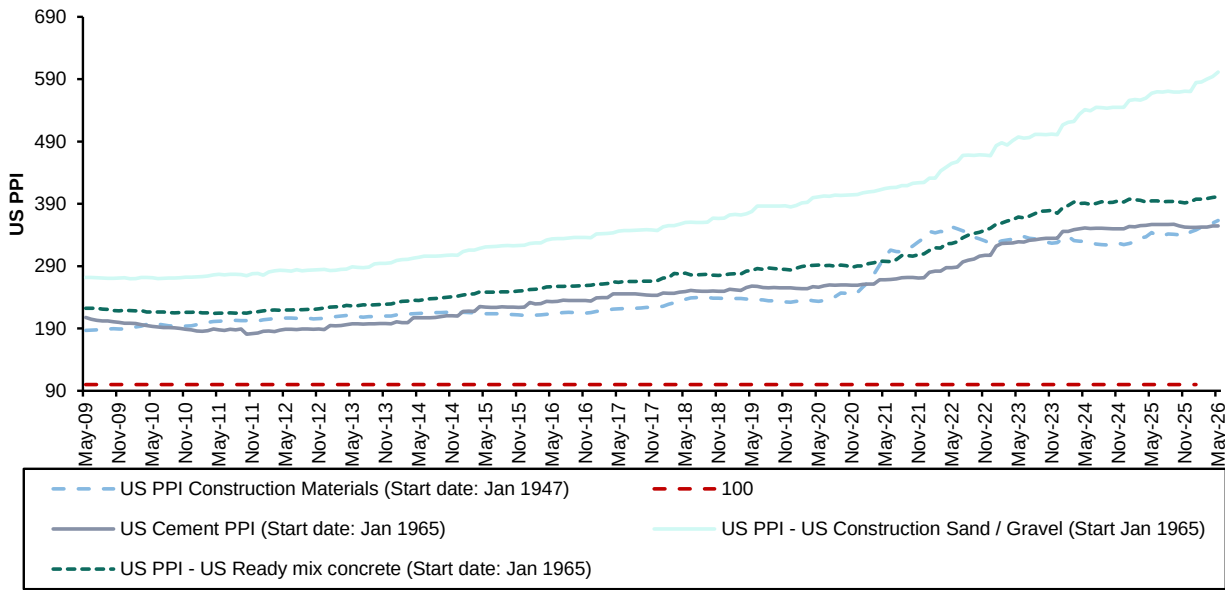
Source: Fastenal, Bernstein analysis

EXHIBIT 14: **The 5% M/M decline was behind of the typical seasonality of +3%**



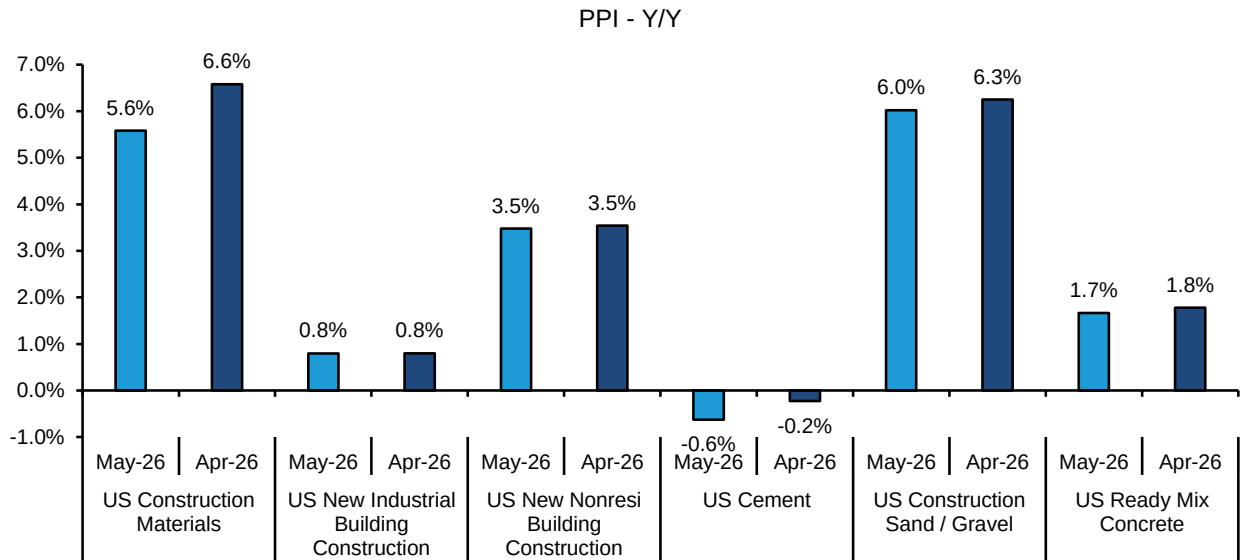
Fastenal, Bernstein analysis
Source: Fastenal, Bernstein analysis

EXHIBIT 15: **The Construction Materials PPI accelerated 70 bps from the prior month to +7% Y/Y in Apr.**



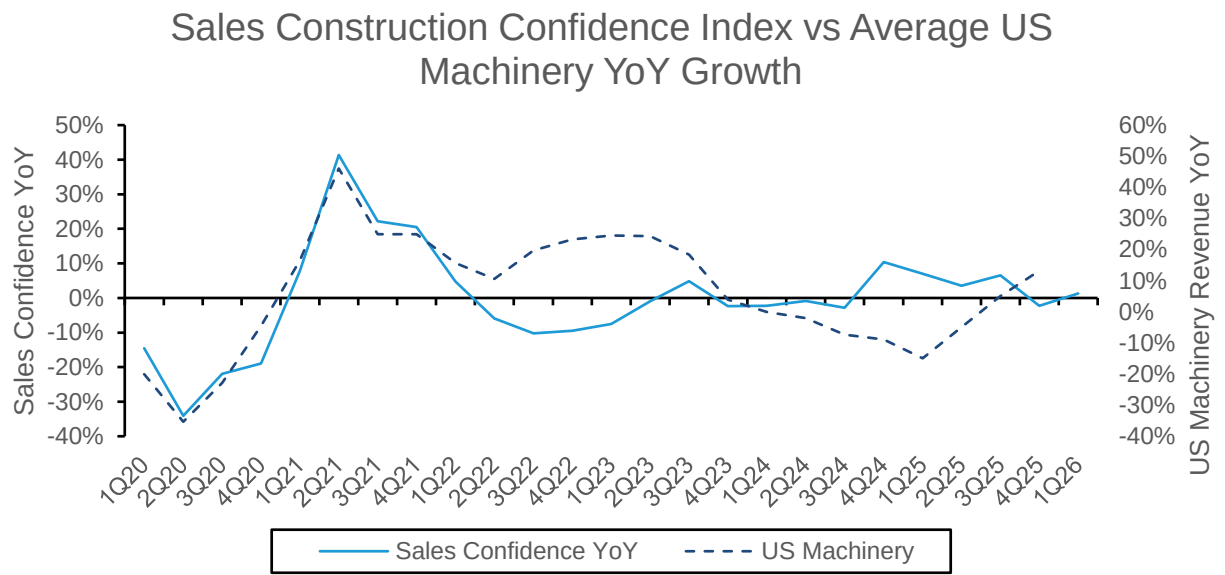
Source: Bloomberg, Bernstein analysis

EXHIBIT 16: **Last 2 months YoY change of the PPI by category**



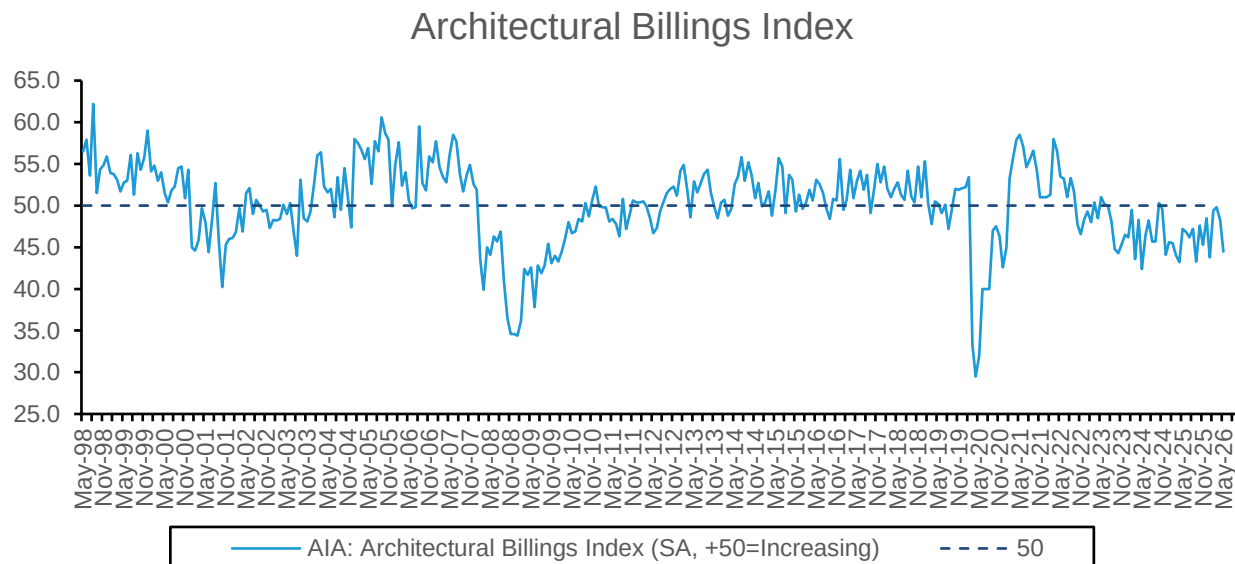
Source: Bloomberg, Bernstein analysis

EXHIBIT 17: **Even though the first read of the year is flat M/M, the index improved 3% from the last read of 2025**



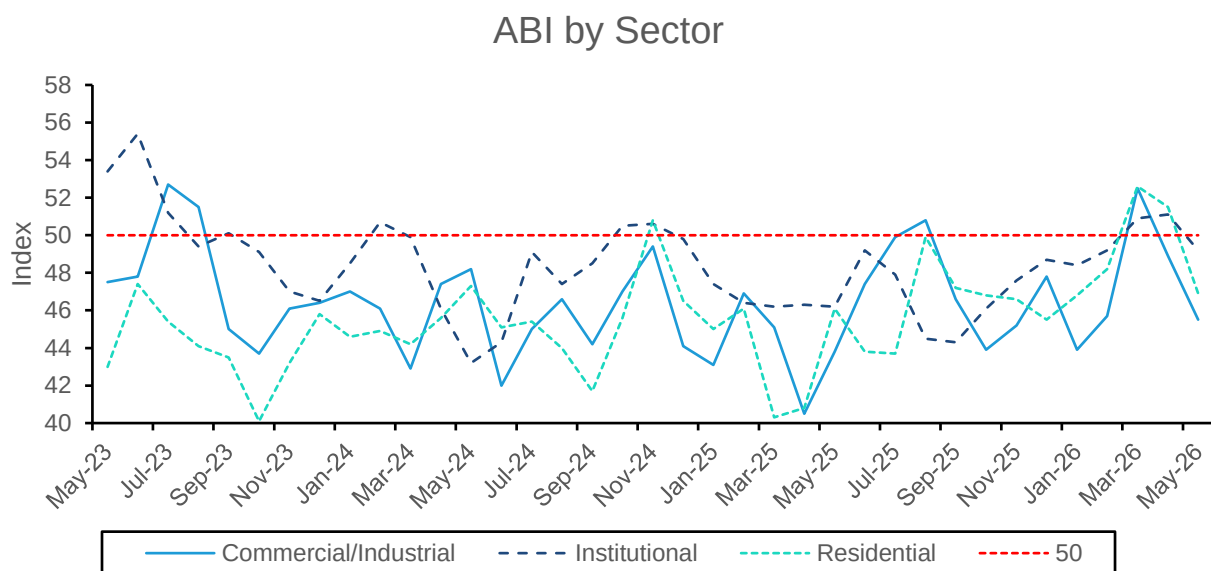
Source: Haver, Bloomberg, Bernstein analysis

EXHIBIT 18: **In May, the ABI declined from almost 50 points in Apr to 44.5 point.**



Source: American Institute of Architects, Bernstein Analysis

EXHIBIT 19: **From a sector perspective, all sectors lost the momentum gained the prior months**



Source: American Institute of Architects, Bernstein Analysis

COMMERCIAL VEHICLES

EXHIBIT 20: Commercial Vehicles Summary

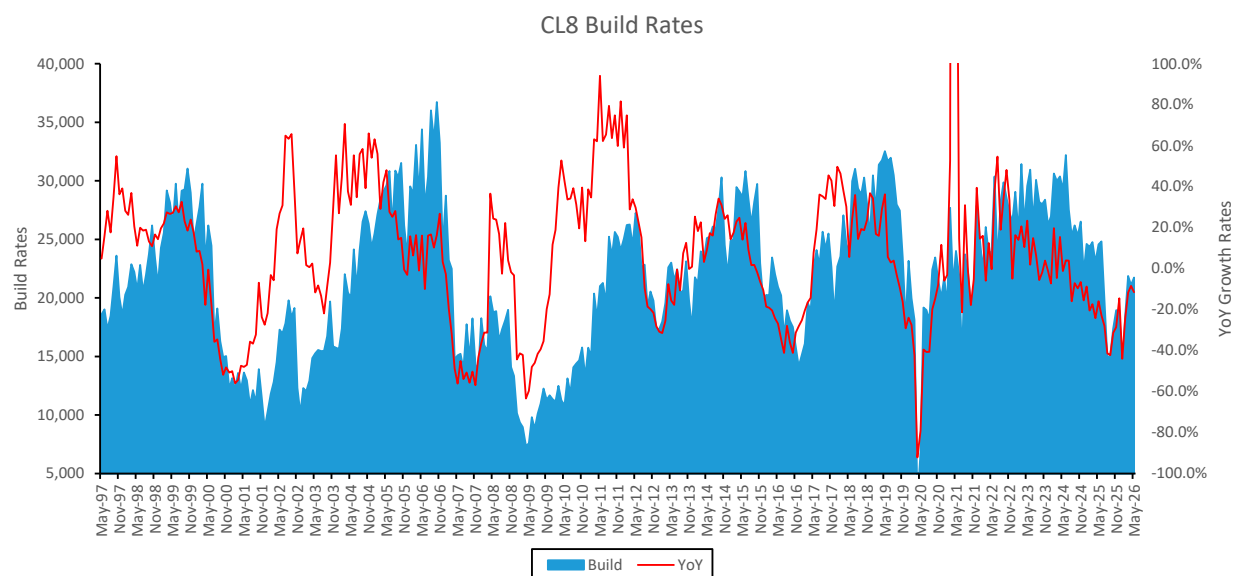
	Commercial Vehicles											Internet Truckstop - Market Demand Index (Monthly)	DAT Spot Rate	
	Total Class 8						% Y/Y							
	Build	Retail Sales	Net Orders	Cancellations	Inventory	Backlog	Build	Retail Sales	Net Orders	Cancellations	Inventory	Backlog		
Jan-23	29,049	23,799	18,658	2,783	57,967	233,644	16%	28%	-12%	71%	15%	-10%	41.294	2.39
Feb-23	25,582	24,611	23,833	1,333	59,798	230,809	14%	32%	14%	-78%	12%	-10%	39.974	2.26
Mar-23	31,435	29,921	19,010	1,171	61,474	218,168	21%	18%	-11%	-67%	10%	-13%	45.008	2.17
Apr-23	26,302	27,559	12,008	3,210	61,005	203,100	11%	16%	-24%	516%	6%	-17%	45.857	2.07
May-23	29,555	29,624	15,623	2,320	61,438	189,162	23%	15%	11%	43%	9%	-19%	49.715	2.06
Jun-23	30,952	29,905	16,773	680	60,682	175,208	2%	8%	9%	29%	6%	-20%	44.003	2.08
Jul-23	26,509	26,293	15,573	1,290	61,815	163,576	15%	7%	41%	18%	9%	-21%	35.790	2.06
Aug-23	30,074	29,096	19,513	3,869	62,562	152,608	6%	4%	-7%	1499%	8%	-23%	39.334	2.08
Sep-23	28,182	27,959	16,974	1,549	62,878	161,330	-6%	2%	-31%	-27%	5%	-27%	44.366	2.11
Oct-23	28,005	27,117	32,287	1,745	65,470	164,389	-2%	-2%	-24%	-22%	8%	-30%	35.495	2.09
Nov-23	28,385	25,558	41,732	1,840	67,209	178,359	4%	-8%	28%	83%	12%	-25%	23.800	2.08
Dec-23	26,217	29,866	26,306	852	64,371	177,989	-1%	-13%	-14%	-63%	19%	-27%	35.818	2.11
Jan-24	26,954	24,599	27,212	3,785	66,206	178,014	-7%	3%	46%	36%	14%	-24%	48.180	2.14
Feb-24	30,627	23,391	27,802	829	73,911	174,915	20%	-5%	17%	-38%	24%	-24%	45.519	2.06
Mar-24	29,983	26,026	17,494	1,484	77,675	162,733	-5%	-13%	-8%	27%	26%	-25%	54.837	2.01
Apr-24	30,376	26,397	15,920	1,567	76,902	148,760	15%	-4%	33%	-51%	26%	-27%	48.870	1.99
May-24	29,210	26,281	23,563	2,623	73,941	143,433	-1%	-11%	51%	13%	20%	-24%	55.897	2.02
Jun-24	32,195	24,274	14,611	1,074	85,445	127,917	4%	-19%	-13%	58%	41%	-27%	58.880	2.06
Jul-24	27,549	27,733	13,451	978	88,803	114,291	4%	5%	-14%	-24%	44%	-30%	46.014	2.07
Aug-24	25,297	26,521	16,262	1,821	88,816	105,405	16%	-9%	-17%	-53%	42%	-31%	42.354	2.01
Sep-24	26,179	28,426	37,031	3,105	87,426	116,034	-7%	2%	0%	100%	39%	-28%	46.676	1.97
Oct-24	25,313	27,361	30,643	680	85,117	121,584	10%	1%	-5%	-61%	30%	-26%	49.505	2.02
Nov-24	26,523	25,892	37,236	708	84,514	132,814	-7%	1%	-11%	-62%	26%	-26%	28.594	2.02
Dec-24	22,166	28,998	36,773	725	80,440	145,517	15%	-3%	40%	-15%	25%	-18%	33.457	2.11
Jan-25	24,605	21,451	25,744	1,937	82,114	147,511	-9%	-13%	-5%	-49%	24%	-17%	51.589	2.15
Feb-25	24,359	20,375	18,031	819	86,462	140,767	20%	-13%	-35%	-1%	17%	-20%	65.460	2.02
Mar-25	24,769	23,333	16,456	3,864	90,644	132,201	17%	-10%	-6%	160%	17%	-19%	84.982	1.99
Apr-25	23,049	22,213	8,227	1,566	91,718	117,521	24%	-16%	-48%	0%	19%	-21%	70.265	1.96
May-25	24,565	23,143	13,034	2,299	93,181	105,880	16%	-12%	-45%	-12%	26%	-26%	60.981	2.00
Jun-25	24,820	24,472	9,493	3,192	94,044	90,857	23%	1%	-35%	197%	10%	-29%	66.618	2.02
Jul-25	19,854	22,840	13,173	438	90,866	84,549	28%	-18%	-2%	-55%	2%	-26%	59.444	2.05
Aug-25	14,837	21,355	12,840	2,318	84,839	82,410	41%	-19%	-21%	27%	-4%	-22%	62.041	2.03
Sep-25	15,111	20,141	20,660	1,028	79,553	87,783	42%	-29%	-44%	-67%	-9%	-24%	72.867	2.05
Oct-25	17,367	18,369	24,403	1,218	77,275	93,531	31%	-33%	-20%	79%	-9%	-23%	62.341	2.06
Nov-25	18,935	15,528	19,547	345	81,252	93,773	29%	-40%	-48%	-51%	-4%	-29%	38.397	2.09
Dec-25	18,948	25,206	42,674	321	77,642	117,003	15%	-13%	16%	-56%	-3%	-20%	42.446	2.29
Jan-26	13,803	15,899	30,806	1,149	74,862	133,470	44%	-26%	20%	-41%	-9%	-10%	108.713	2.32
Feb-26	18,339	16,704	46,440	777	76,452	161,776	25%	-18%	158%	-5%	-12%	15%	117.200	2.42
Mar-26	21,858	19,030	38,050	925	79,689	175,903	12%	-18%	131%	-76%	-12%	33%	138.164	2.52
Apr-26	21,088	19,859	24,675	2,116	81,149	177,905	-9%	-11%	200%	35%	-12%	51%	129.336	2.67
May-26	21,739	21,287	26,576	475	81,203	180,995	12%	-8%	104%	-79%	-13%	71%	155.443	2.89
Jun-26													136.550	2.91
Jul-26														3.07

Source: ACT, Bloomberg, DAT, Bernstein analysis

EXHIBIT 21: **Monthly CL8 Summary**

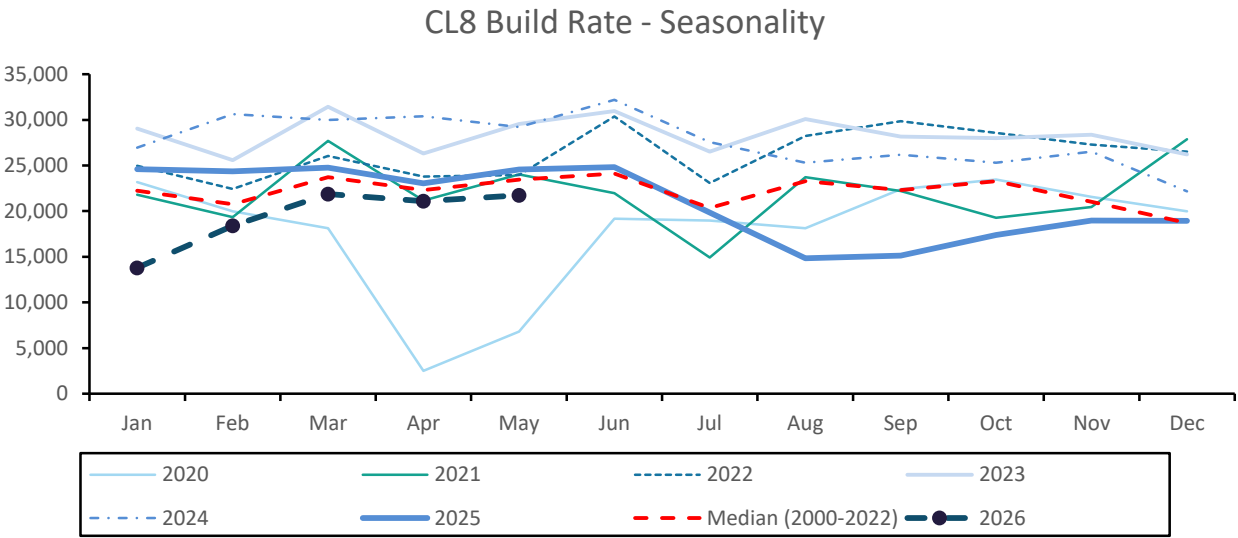
Current Month = May	Class 8 Summary					
	Build	Retail Sales	Net Orders	Cancellations	Inventory	Backlog
Current Month	21,739	21,287	26,576	475	81,203	180,995
% Y/Y (Current month)	-12%	-8%	104%	-79%	-13%	71%
%Y/Y (previous month)	-8%	-11%	200%	35%	-12%	52%
%M/M (current month)	3%	7%	8%	-78%	0%	2%
Typical seasonality of %M/M (median)	3%	3%	-5%		0%	

Source: ACT, Bernstein analysis

EXHIBIT 22: **Build Rates declined by ~10%Y/Y in Apr, vs ~-12% the prior month**

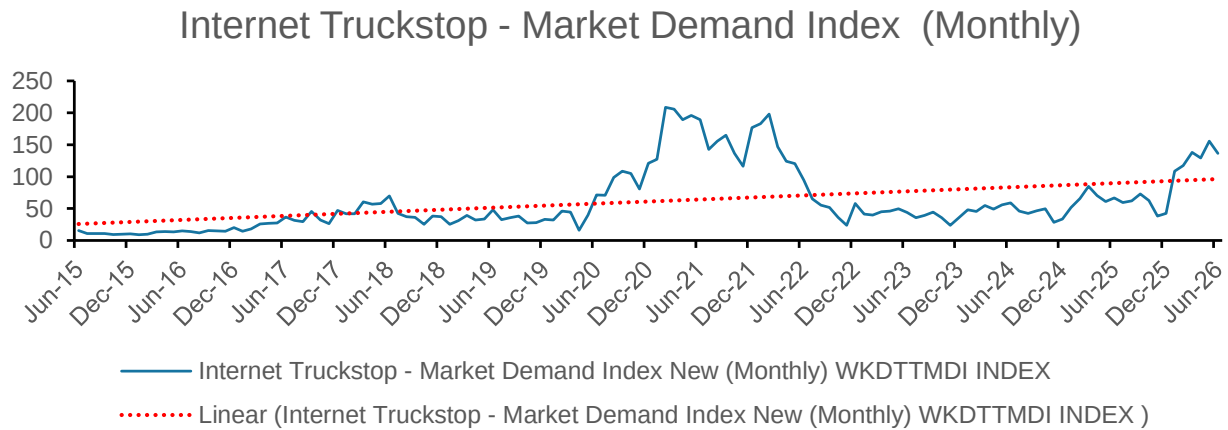
Source: ACT, Bernstein analysis

EXHIBIT 23: **Build rates during the month of Apr positioned slightly below the the historical median. From a M/M variation, Apr'26 outperformed the typical seasonality (-4% vs -7%)**



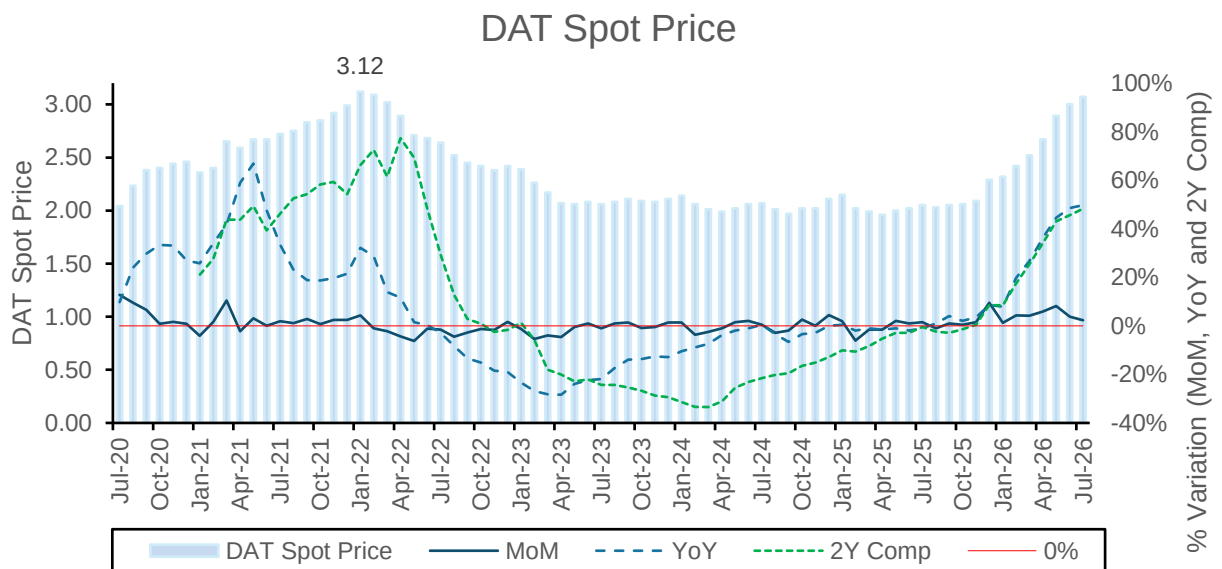
Source: ACT, Bernstein analysis

EXHIBIT 24: **Latest ITDI's read declined 12% from the prior month, but still exhibits a significant Y/Y growth ahead of +100%**



Source: Bloomberg, Bernstein analysis.

EXHIBIT 25: **Spot rates of \$3.07 in July's earliest read are +2% M/M and ~+50% Y/Y (+500bps vs prior month)**



Source: DAT, Bernstein analysis.

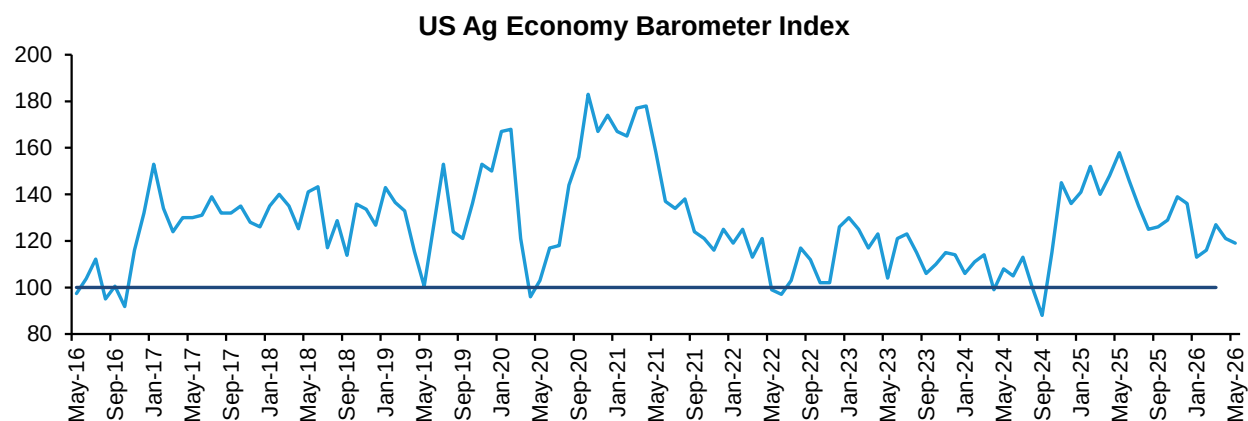
AGRICULTURE EQUIPMENT

EXHIBIT 26: Agriculture Equipment Summary

	Barometers		North America Sales			% Y/Y North America Sales			Crop Spot Price YoY		US Crop Conditions (% good or greater)	
	US Ag Barometer	CEMA Barometer	HHP Tractor Sales	LHP Tractor Sales	Combine Sales	HHP Tractor Sales	LHP Tractor Sales	Combine Sales	Corn	Soybean	Corn	Soybeans
Jan-23	130	30	2,350	13,371	611	20%	-16%	141%	9%	3%	NA	NA
Feb-23	125	36	2,050	13,560	633	12%	-22%	175%	-10%	-9%	NA	NA
Mar-23	117	24	2,636	20,681	672	6%	-15%	67%	-12%	-7%	NA	NA
Apr-23	123	16	3,331	25,009	729	5%	-20%	28%	-22%	-15%	NA	NA
May-23	104	11	2,881	26,996	588	12%	-4%	50%	-21%	-23%	NA	NA
Jun-23	121	1	3,186	26,744	868	22%	-2%	13%	-25%	-7%	67%	62%
Jul-23	123	-7	3,215	20,445	996	0%	-8%	4%	-18%	-12%	64%	59%
Aug-23	115	-22	2,746	20,247	951	8%	-6%	-6%	-32%	-10%	61%	57%
Sep-23	106	-31	3,434	19,790	1,077	12%	-8%	-10%	-30%	-7%	59%	58%
Oct-23	110	-32	4,868	20,034	789	-11%	-19%	-63%	-31%	-9%	NA	NA
Nov-23	115	-40	1,532	11,344	272	-10%	-20%	-30%	-30%	-9%	NA	NA
Dec-23	114	-48	3,346	15,786	603	-12%	-17%	-33%	-31%	-15%	NA	NA
Jan-24	106	-50	1,728	9,132	460	-26%	-32%	-25%	-34%	-21%	NA	NA
Feb-24	111	-52	1,794	11,321	354	-12%	-17%	-44%	-34%	-24%	NA	NA
Mar-24	114	-55	2,276	16,448	387	-14%	-20%	-42%	-33%	-21%	NA	NA
Apr-24	99	-57	3,140	22,177	608	-6%	-11%	-17%	-31%	-21%	NA	NA
May-24	108	-51	2,324	21,732	401	-19%	-19%	-32%	-25%	-7%	NA	NA
Jun-24	105	-56	2,415	20,535	460	-24%	-23%	-47%	-28%	-26%	57%	57%
Jul-24	113	-56	2,434	16,085	638	-24%	-21%	-36%	-24%	-29%	55%	52%
Aug-24	100	-57	2,070	14,999	618	-25%	-26%	-35%	-18%	-28%	58%	58%
Sep-24	88	-54	2,317	14,716	530	-33%	-26%	-51%	-11%	-17%	52%	52%
Oct-24	115	-52	3,286	18,171	514	-32%	-9%	-35%	-14%	-24%	NA	NA
Nov-24	145	-43	940	10,140	145	-39%	-11%	-47%	-8%	-26%	NA	NA
Dec-24	136	-37	2,442	14,662	441	-27%	-7%	-27%	-3%	-23%	NA	NA
Jan-25	141	-31	1,204	7,996	97	-30%	-12%	-79%	8%	-15%	NA	NA
Feb-25	152	-11	1,351	9,816	182	-25%	-13%	-49%	9%	-10%	NA	NA
Mar-25	140	-5	1,841	14,735	241	-19%	-10%	-38%	3%	-15%	NA	NA
Apr-25	148	2	2,181	20,020	414	-31%	-10%	-32%	6%	-10%	NA	NA
May-25	158	7	1,598	19,594	317	-31%	-10%	-21%	-1%	-14%	NA	NA
Jun-25	146	4	1,670	20,269	259	-31%	-1%	-44%	6%	-11%	71%	67%
Jul-25	135	0	1,675	15,939	359	-31%	-1%	-44%	3%	-6%	74%	69%
Aug-25	125	4	1,521	14,154	404	-27%	-6%	-35%	5%	6%	72%	69%
Sep-25	126	11	1,955	15,774	414	-16%	7%	-22%	-2%	-5%	67%	63%
Oct-25	129	4	2,436	14,822	376	-26%	-18%	-27%	5%	12%	NA	NA
Nov-25	139	9	814	8,095	94	-13%	-20%	-35%	3%	15%	NA	NA
Dec-25	136	4	1,942	12,639	422	-20%	-14%	-4%	-4%	3%	NA	NA
Jan-26	113	2	899	7,872	163	-25%	-2%	68%	-11%	2%	NA	NA
Feb-26	116	2	1,052	8,752	159	-22%	-11%	-13%	-3%	14%	NA	NA
Mar-26	127	-2	1,389	13,672	180	-25%	-7%	-25%	0%	15%	NA	NA
Apr-26	121	-6	1,900	18,014	428	-13%	-11%	3%	-1%	14%	NA	NA
May-26	119	-9	1,414	15,401	138	-11%	-22%	-56%	1%	14%	NA	NA
Jun-26		-20									68%	66%

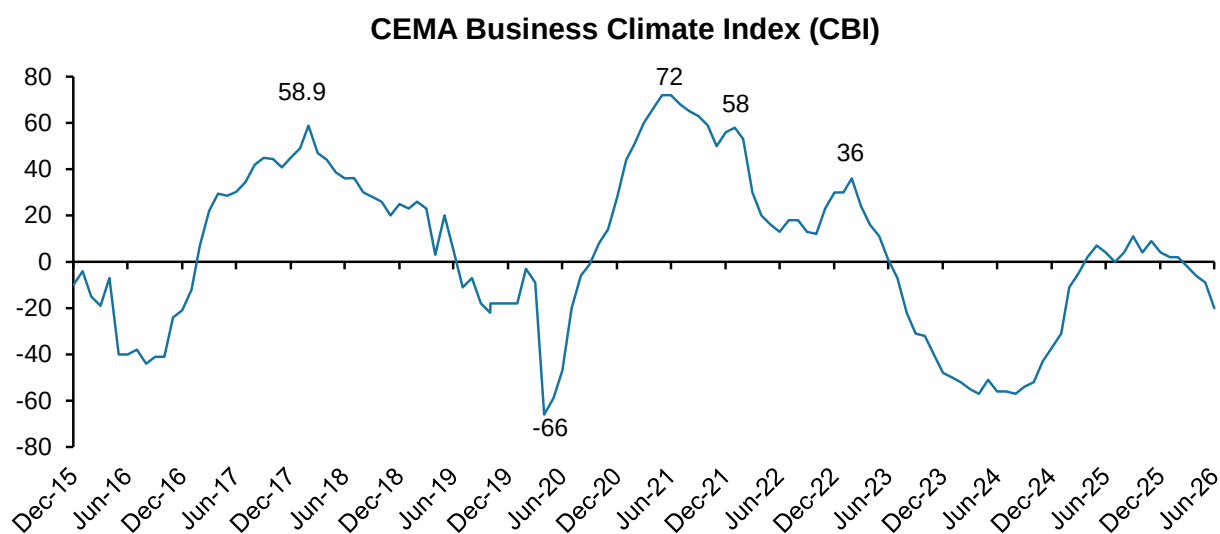
Source: Purdue, Bloomberg, CEMA, Bernstein Analysis

EXHIBIT 27: **Purdue Ag Barometer declined 2% from the prior month to 119, and exhibited an acceleration of the Y/Y decline rate from almost 20% to -25%.**



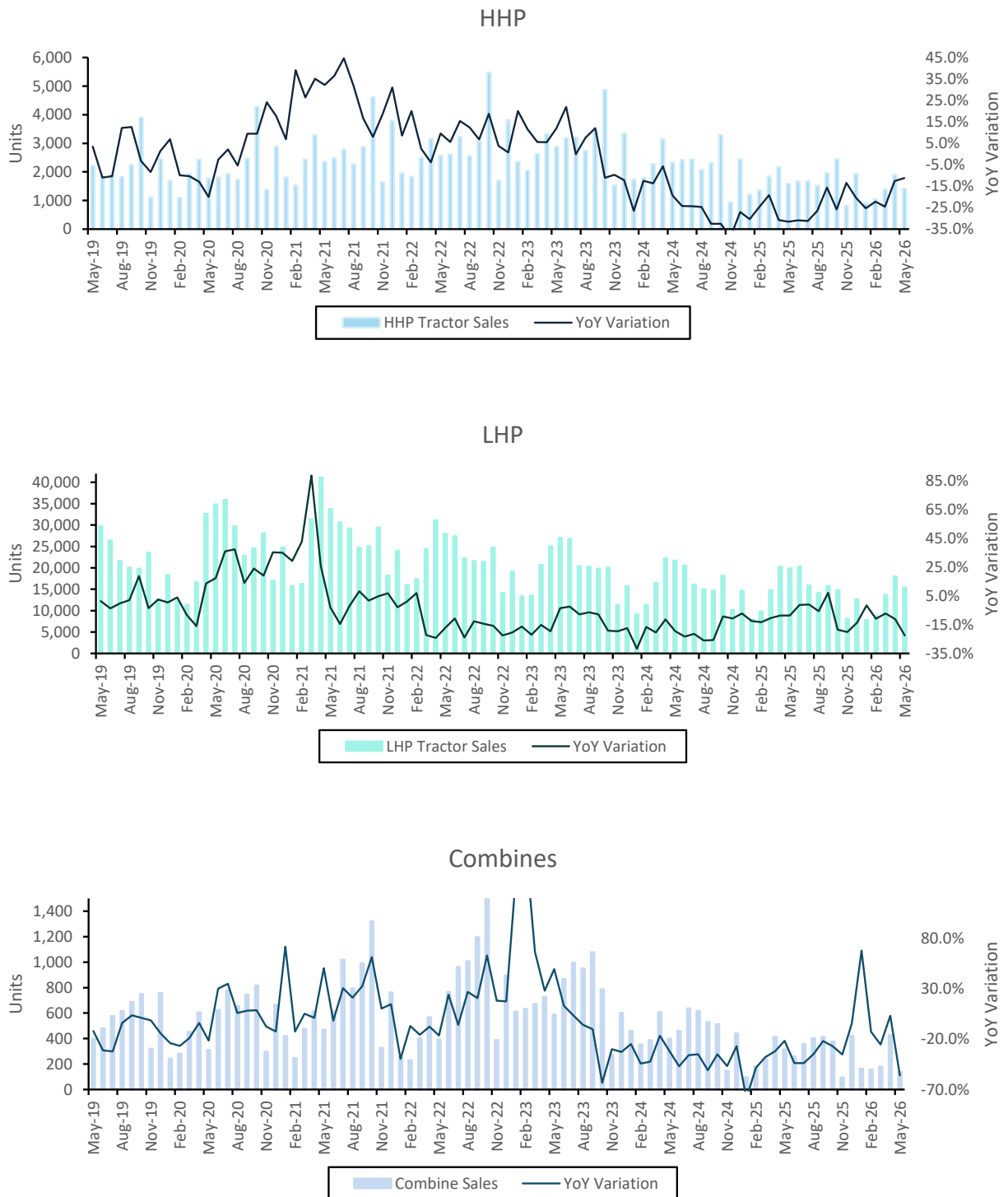
Source: Purdue, Bernstein Analysis

EXHIBIT 28: **CEMA Barometer deteriorated again from -9 points in May to -20 points in June, which represents a decline of ~25 points Y/Y (vs -16 points the prior month)**



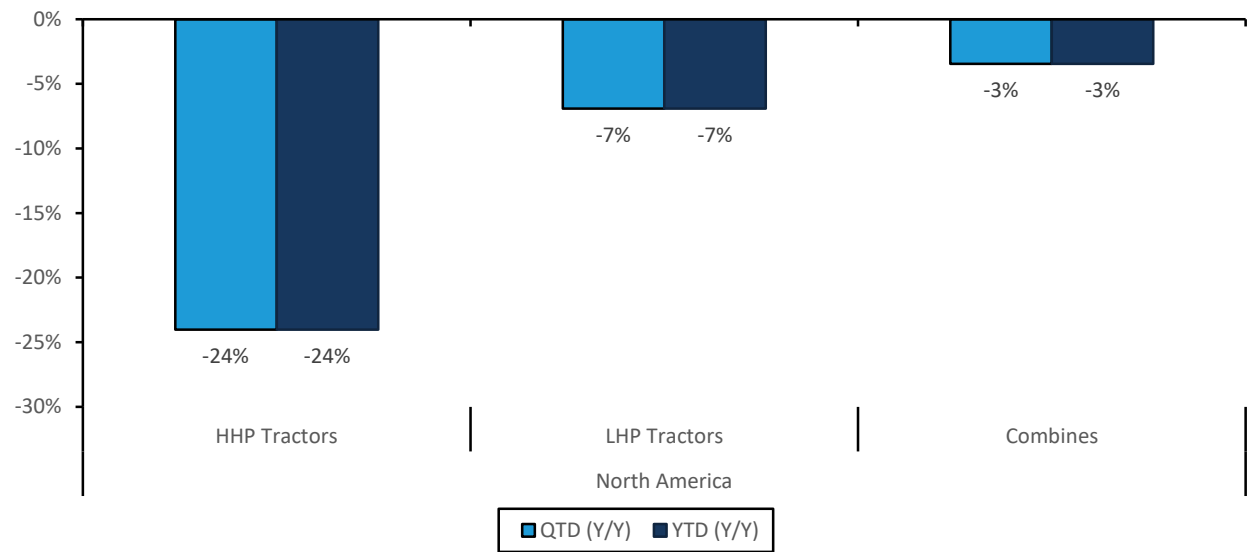
Source: CEMA, Bernstein analysis

EXHIBIT 29: **HHP tractor sales in North America declined ~12% Y/Y, an improvement from -25% the prior month, whilst combines increased 3% Y/Y, vs -25% the prior month**



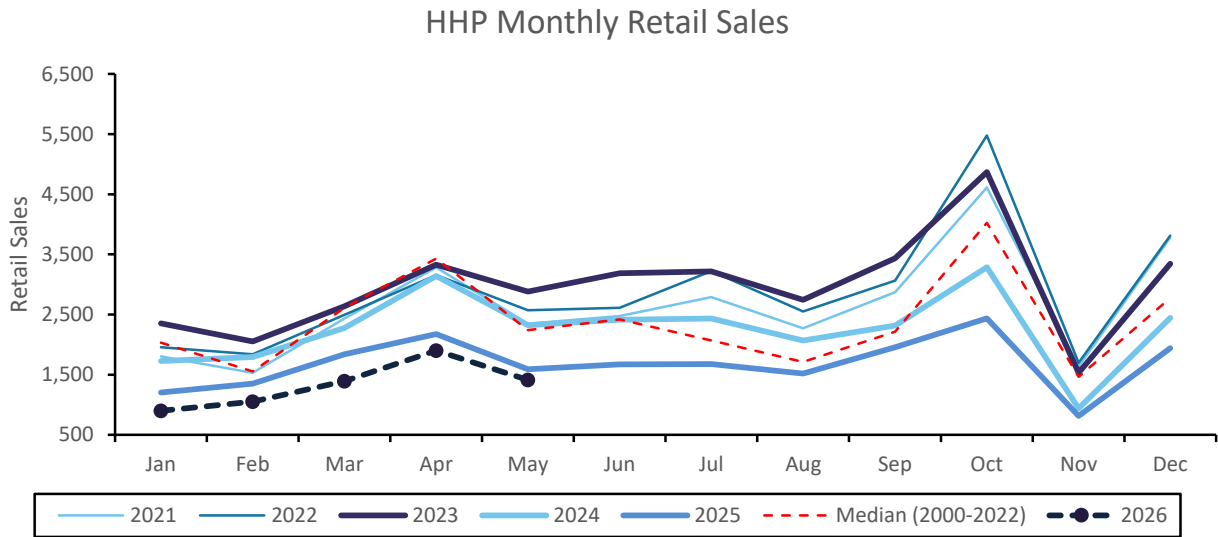
HHP: High Horse Power; LHP: Low Horse Power
Source: Bloomberg, Bernstein analysis.

EXHIBIT 30: **From a quarterly perspective, HHP tractors had the worst 1Q26**



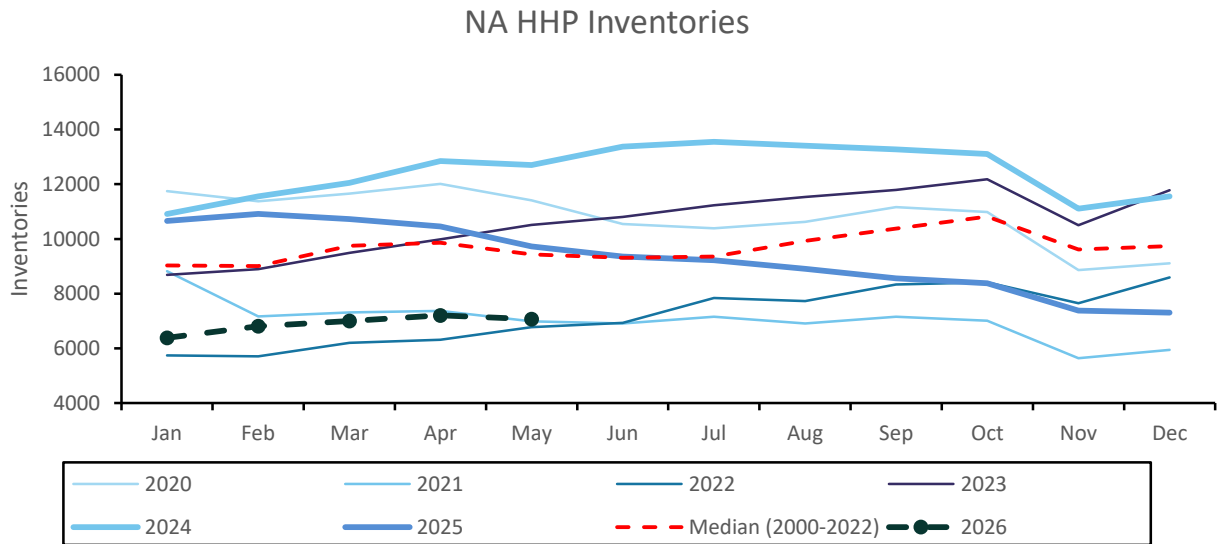
Source: Bloomberg, Bernstein analysis

EXHIBIT 31: North America HHP Retail Sales Seasonality



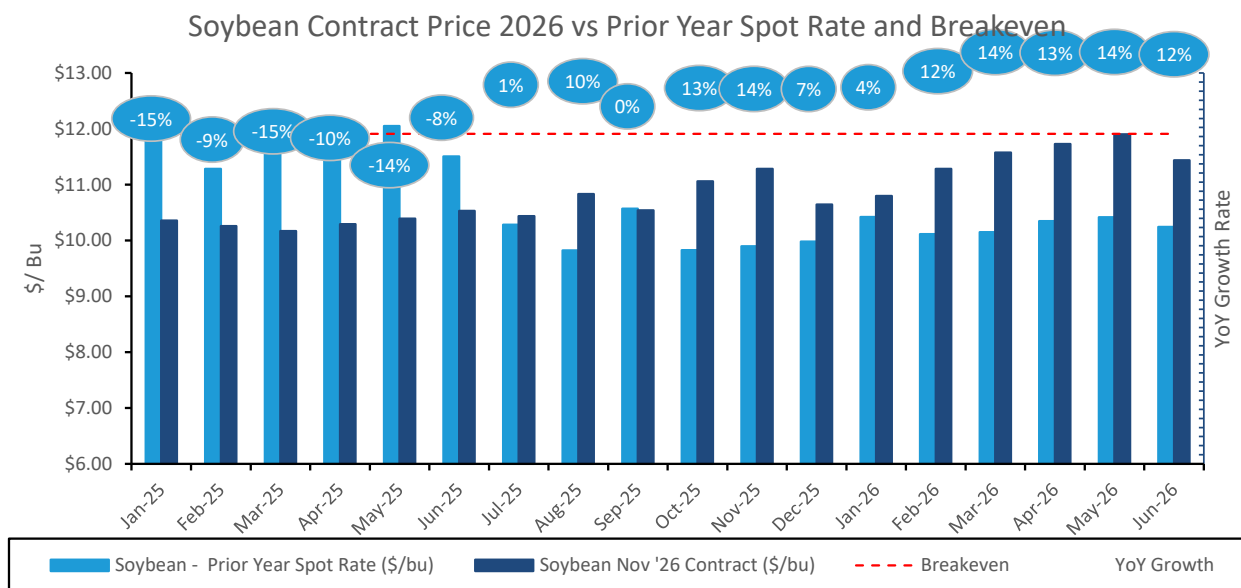
Source: Bloomberg, AEM, Bernstein analysis

EXHIBIT 32: North American Dealers inventories remained below historical levels



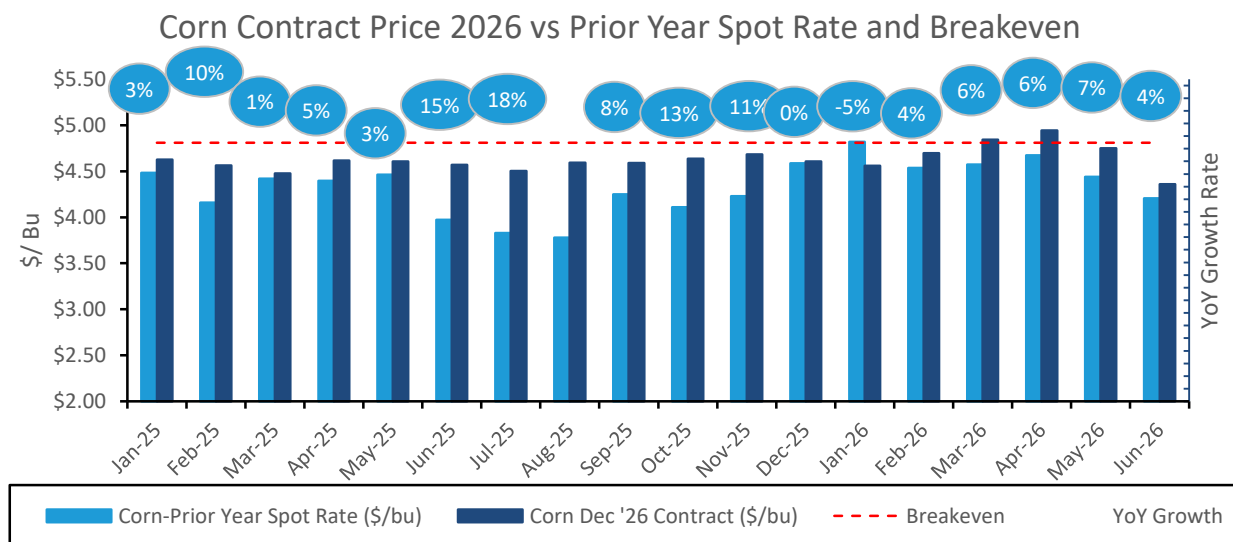
Source: Bloomberg, AEM, Bernstein analysis

EXHIBIT 33: **Nov 26 Soybeans Futures increased +12% from the prior year's spot rate, a deceleration from prior month's 14%.**



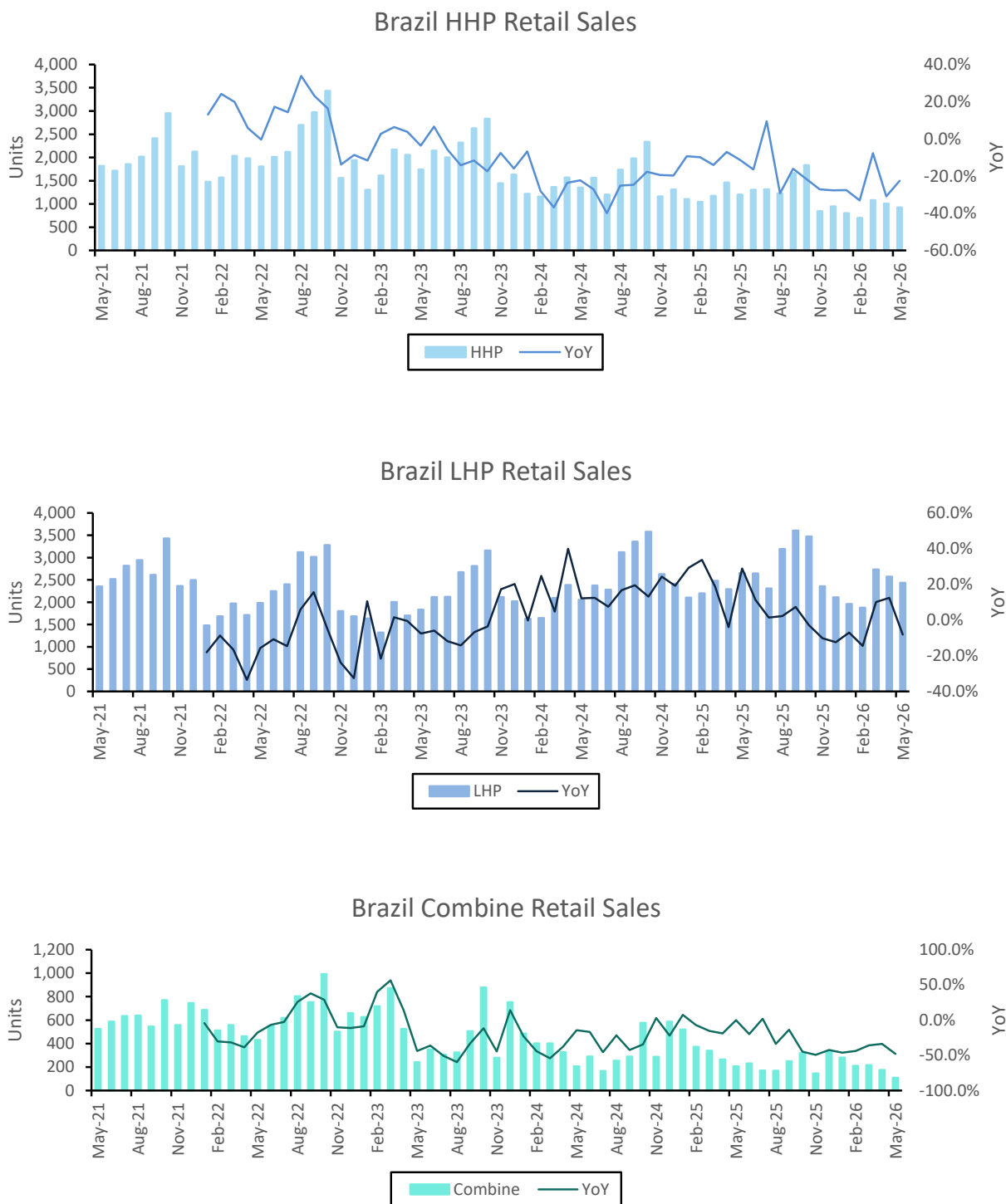
Source: Bloomberg, USDA, Bernstein analysis

EXHIBIT 34: **Corn future prices (Dec 26) grew 4% from prior year's spot rates during June (~300 bps deceleration from the prior month).**



Source: Bloomberg, USDA, Bernstein analysis

EXHIBIT 35: **HHP Retail Sales in Brazil declined ~20% Y/Y, a deceleration from prior month's -30% and Combines declined ~48% Y/Y, a significant acceleration from -34%**



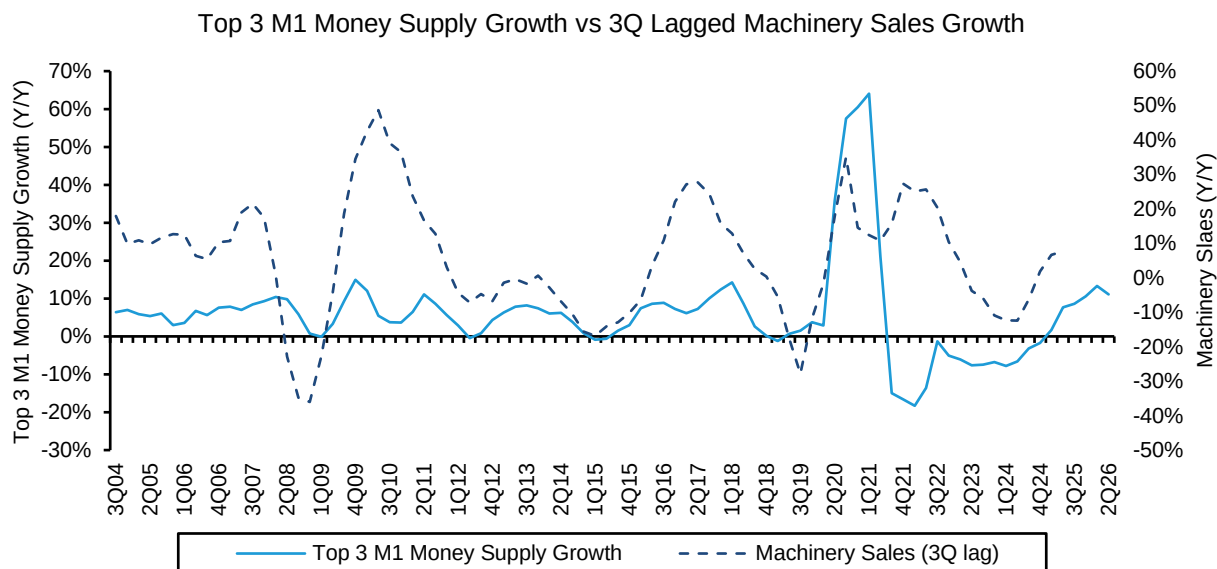
Source: Bloomberg, Bernstein Analysis

MACRO**EXHIBIT 36: Macro Summary Table**

	Top 3 M1 YoY	Sync Global Growth	US PMI	China PMI
Jan-23	-4%	20%	47.4	49.2
Feb-23	-7%	25%	47.7	51.6
Mar-23	-7%	30%	46.5	50.0
Apr-23	-6%	30%	47.0	49.5
May-23	-9%	40%	46.6	50.9
Jun-23	-8%	35%	46.4	50.5
Jul-23	-7%	65%	46.5	49.2
Aug-23	-8%	70%	47.6	51.0
Sep-23	-7%	80%	48.6	50.6
Oct-23	-7%	95%	46.9	49.5
Nov-23	-7%	95%	46.6	50.7
Dec-23	-7%	85%	47.1	50.8
Jan-24	-8%	75%	49.1	50.8
Feb-24	-8%	85%	47.8	50.9
Mar-24	-7%	80%	50.3	51.1
Apr-24	-8%	70%	49.2	51.4
May-24	-6%	75%	48.7	51.7
Jun-24	-6%	80%	48.5	51.8
Jul-24	-6%	75%	46.8	49.8
Aug-24	-3%	70%	47.2	50.4
Sep-24	0%	65%	47.2	49.3
Oct-24	-1%	75%	46.9	50.3
Nov-24	-2%	60%	48.4	51.5
Dec-24	-2%	60%	49.2	50.5
Jan-25	1%	60%	50.9	50.1
Feb-25	1%	55%	50.3	50.8
Mar-25	3%	30%	49.0	51.2
Apr-25	6%	35%	48.7	50.4
May-25	7%	30%	48.5	48.3
Jun-25	10%	25%	49.0	50.4
Jul-25	9%	55%	48.0	49.5
Aug-25	9%	55%	48.7	50.5
Sep-25	8%	65%	49.1	51.2
Oct-25	9%	60%	48.8	50.6
Nov-25	10%	40%	48.0	49.9
Dec-25	12%	45%	47.9	50.1
Jan-26	13%	55%	52.6	50.3
Feb-26	15%	70%	52.4	52.1
Mar-26	12%	60%	52.7	50.8
Apr-26	11%	80%	52.7	52.2
May-26	11%	75%	54.0	51.8

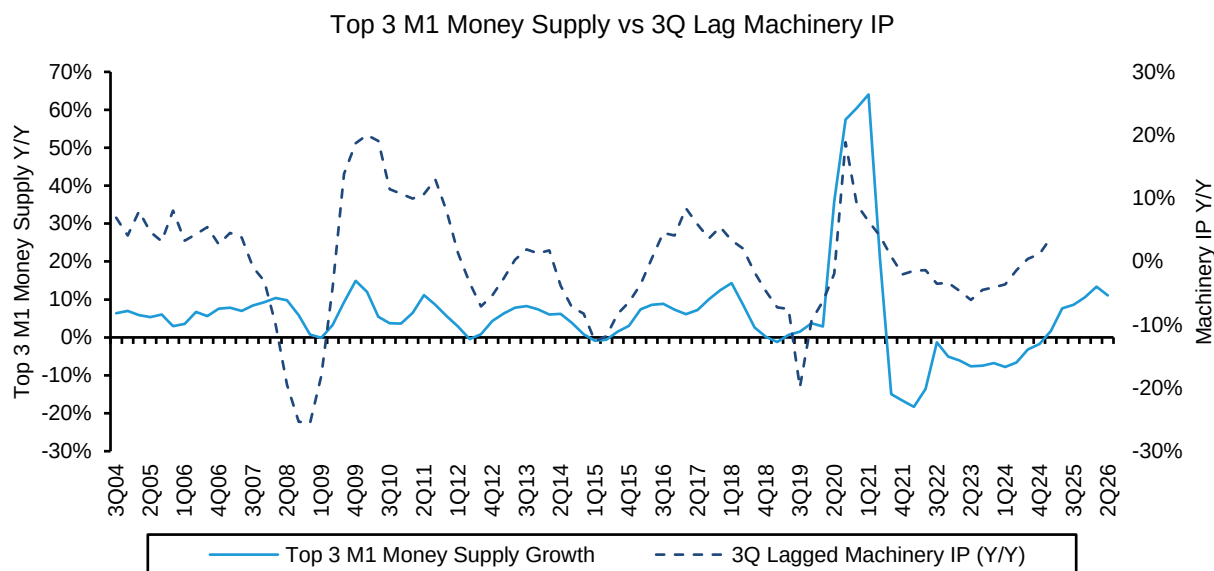
Source: Bloomberg, Bernstein analysis

EXHIBIT 37: **Machinery Sales will likely benefit from top 3 economies M1 growth**



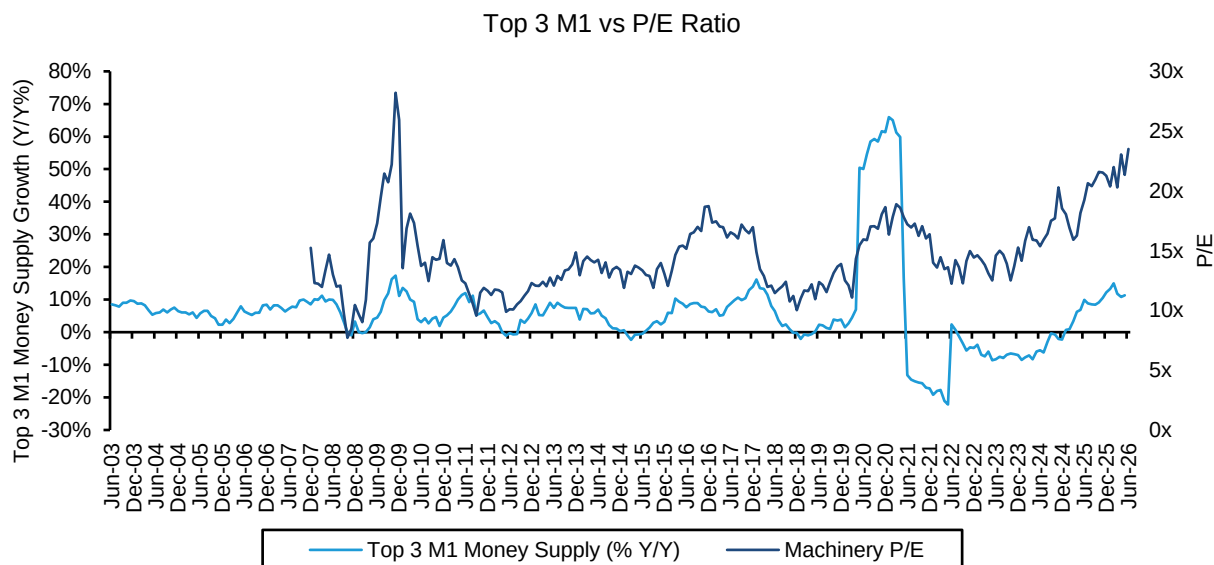
Source: Bloomberg, Bernstein analysis

EXHIBIT 38: **Machinery IP will also likely benefit from the growth of the monetary policies**



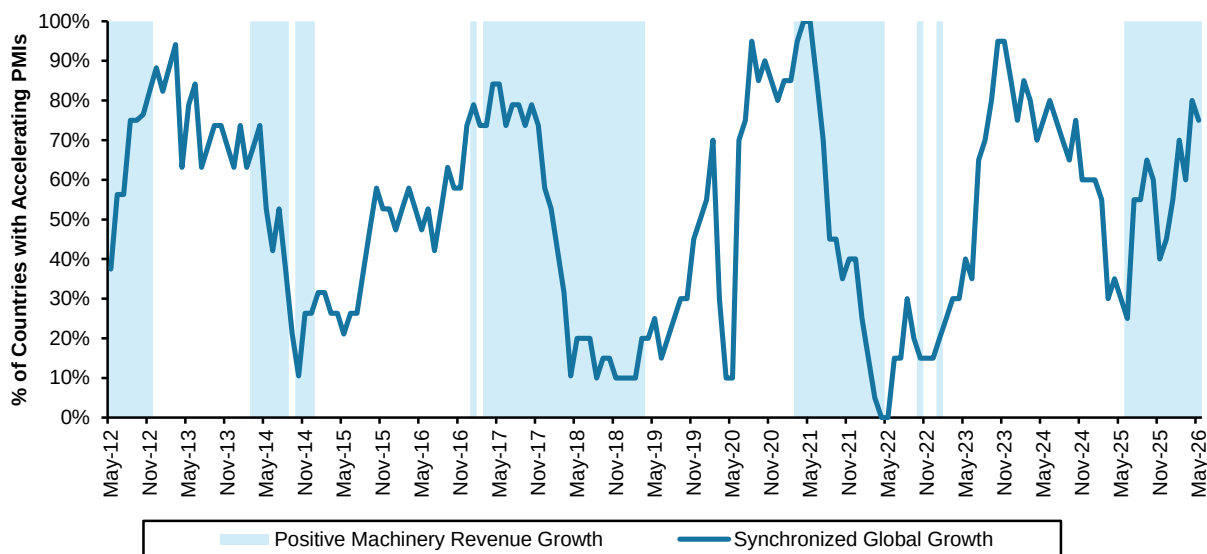
Source: Bloomberg, Bernstein analysis

EXHIBIT 39: Given the resiliency of the sector, the market has rewarded the machinery sector, as P/E has decoupled from global monetary policies



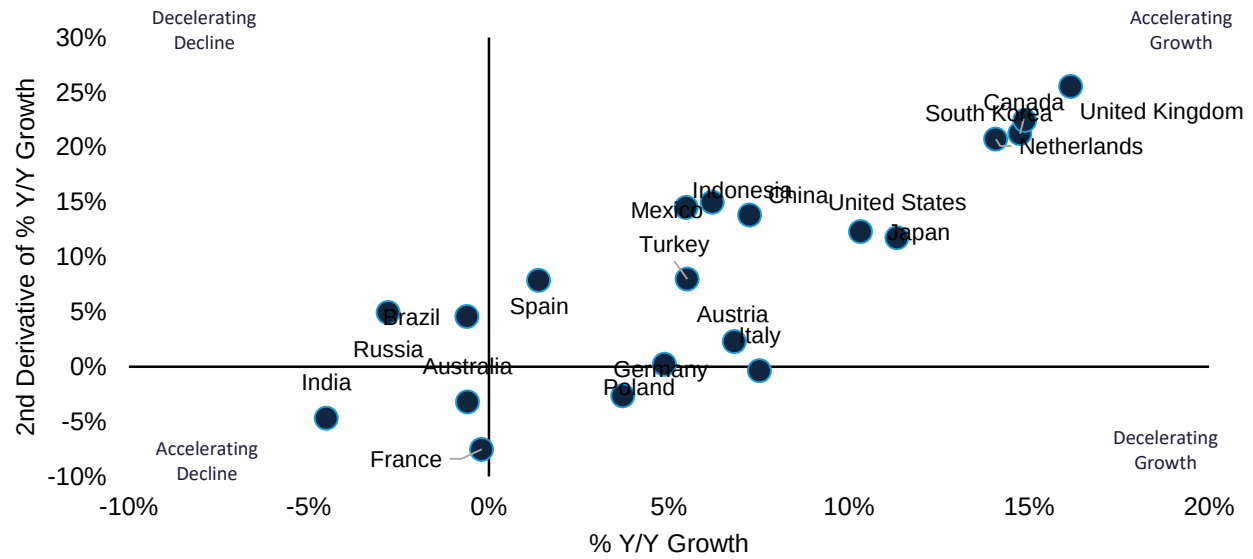
Source: Bloomberg, Bernstein analysis

EXHIBIT 40: Synchronized global growth declined 5points from the prior month to 75%.



Source: Bloomberg, Bernstein analysis

EXHIBIT 41: **Most economies exhibit a postive 2nd derivative Y/Y growth**



Source: Bloomberg, Bernstein analysis

We would like to thank Federico Anchieri for his hard work and significant contribution to this report.

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